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FEDERAL MARITIME COMMISSION

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Nueces County, Texas

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BEFORE THE
FEDERAL MARITIME COMMISSION

CITGO Refining and Chemicals	)	
Company L.P.	)	
	)	
Complainant	)	
	)	
v.	)	FMC Docket No. 11-15
	)	
PORT OF CORPUS CHRISTI OF	)	
NUECES COUNTY, TEXAS	)	
	)	
Respondent	)	

MOTION TO DISMISS COMPLAINT

Respondent, Port of Corpus Christi Authority of Nueces County, Texas (the "Respondent", "Port" or "Corpus Christi"), pursuant to 46 CFR §502.73, respectfully submits this Motion to Dismiss with respect to the Complaint filed by Complainant CITGO Refining and Chemicals Company L.P. ("CITGO" or "Complainant"). It is Respondent's belief that this Motion is an effective and inexpensive means to immediately resolve the Complaint in this proceeding.

I. STATEMENT OF ISSUES PRESENTED

1. Whether the Complaint should be dismissed because under the Eleventh Amendment to the Constitution the Port has sovereign immunity and is not subject to private suits as decided in Pillsbury Company, Inc. v. The Port of Corpus Christi Authority, 66 F.3rd 103 (5th Cir. 1995), cert. denied, 517 U.S. 1203, 116 S. Ct. 1705 (1996)?

2. Whether the Complaint should be dismissed because the Port is not a "marine terminal operator" as defined in the Shipping Act of 1984, as amended, because the Port does not provide any services in connection with common carriers and therefore the Federal Maritime Commission ("FMC") lacks personal and subject matter jurisdiction over the Port?

3. Whether the Complaint should be dismissed because the Commission has no personal or subject matter jurisdiction over Port activities relating to the wharfage and other charges at the Port's public oil docks or with respect to rental charges at the private oil docks as no common carriers call at these facilities?
4. Whether the Commission can under any set of facts set forth in the Complaint grant reparations to CITGO because the Commission has no power to set rates and charges for marine terminals and, assuming, *arguendo*, that the FMC could determine that the Port's wharfage charge at the public oil dock is unreasonable, the FMC does not have statutory authority or power to determine what would be a reasonable wharfage rate for bulk liquid cargoes?
5. Whether the Shipping Act as a matter of law requires the Complainant to show that its alleged unreasonable prejudice and disadvantage was in relation to an undue or unreasonable preference and advantage to another refiner using public or private oil docks in the Port? In short, must the Complainant plead and prove not only that that it was unreasonably prejudiced and disadvantaged, but also plead and prove that there was a preferred competitor? Under no set of facts in the Complaint can it be assumed or concluded that Complainant paid wharfage at a rate other than the rate charged all other users of the public oil docks.
6. Whether the Complaint should be dismissed as to the private oil docks since the charge by the Port to CITGO is merely rent for certain rights obtained by Complainant under the franchise agreements, and the Commission has no jurisdiction over commercial real estate transactions?

II. STANDARDS FOR MOTIONS TO DISMISS

The general standards for a motion to dismiss a complaint are stated in McKenna Trucking Co., Inc. v. A.P. Moller-Maersk Line and Maersk Inc., 27 SRR 1045, 1054 (ALJ 1997):

“Motions to dismiss, like motions for summary judgment, can bring proceedings to a prompt conclusion without extended litigation. Unlike

motions for summary judgment, motions to dismiss are directed primarily to the pleadings and not to underlying affidavits and similar documents, although exhibits attached to the complaint maybe considered. See 5A Wright & Miller, *Federal Practice and Procedure* (1990) §1357 at 299. As with motions for summary judgment, inferences and doubts are construed in favor of the nonmovant party, i.e., the complainant. However, if it appears primarily from reading a complaint that complainant could be granted no relief under applicable law under any set of facts that complainant could prove consistent with complainant's allegations, the complaint must be dismissed. *Id.* §1357 at 303."

See also, Cargo One, Inc. v. COSCO Container Lines Co., Ltd., 28 SRR 1635, 1642 (FMC 2000)

The guiding principles for motions to dismiss are articulated in two recent Supreme Court cases: Bell Atl. Corp. v Twombly, 550 U.S. 544, 555 (2007) ("Twombly") and Ashcroft v. Iqbal, 556 U.S. 662, 129 S. Ct. 1937, 1949 (2009) ("Iqbal").¹

The Court noted in Iqbal:

As the Court held in *Twombly*, 550 U. S. 544, the pleading standard Rule 8 announces does not require "detailed factual allegations," but it demands more than an unadorned, the-defendant-unlawfully harmed-me accusation. *Id.*, at 555 (citing *Papasan v. Allain*, 478 U. S. 265, 286 (1986)). A pleading that offers "labels and conclusions" or "a formulaic recitation of the elements of a cause of action will not do." 550 U. S., at 555. Nor does a complaint suffice if it tenders "naked assertion[s]" devoid of "further factual enhancement." *Id.*, at 557, 556 U.S. at ___, 129 S. Ct. at 1949

A complaint must contain "either direct or inferential allegations respecting all the material elements to sustain recovery under some viable legal theory." League of United Latin Am. Citizens v. Bredesen, 500 F.3rd 523, 527 (6th Cir.

¹ Twombly and Iqbal together have made it clear that the standard which would require denial of a Motion to Dismiss, unless it could not be shown that the Complaint could not succeed under any set of facts, is no longer the applicable standard. See, Iqbal at 129 S. Ct. at 1944, 1949.

2007) citing Twombly, 550 U.S. at 562. Without a viable legal theory, a complaint fails as a matter of law. See, Id.

Moreover, as noted in Iqbal, at 1950, the Twombly opinion of the Court made it clear that conclusory allegations of violations of law were not viable legal theories:

[T]he plaintiffs' assertion of an unlawful agreement was a 'legal conclusion' and, as such, was not entitled to the assumption of truth. Twombly, at 555.

This is important in connection with respect to the CITGO Complaint when it alleges, for example, that the Port services common carriers. Whether an entity is a common carrier under the Shipping Act is, ultimately, a "legal conclusion" and it is not entitled to the assumption of truth.

Beyond the pleadings themselves, a court (and therefore a federal administrative agency) may take judicial or official notice of matters of public records in accordance with Federal Rule of Evidence 201 without converting the motion to dismiss to a motion for summary judgment. Lee v. City of Los Angeles, 250 F.3rd 668, 688-689 (9th Cir. 2001). Courts and agencies may also take judicial notice of documents outside of the complaint that are capable of accurate and ready determination by resort to sources whose accuracy cannot reasonably be questioned. Fed. R. Evid. 201(d); Wietschner v. Monterey Pasta Co., 294 F. Supp. 2d 1117, 1109 (N.D. Cal. 2003).

Most importantly, for motions to dismiss as to personal and subject matter jurisdiction, such as the instant motion, the moving party may submit affidavits or any other evidence properly before the court or agency. It then becomes necessary for the party opposing the motion to present affidavits or any other evidence necessary to satisfy its burden of establishing that the court or agency, in fact, possesses jurisdiction. Thompson v. Chrysler Motors Corp., 755 F.2d 1162, 1165 (5th Cir. 1985) (when resolving a motion to dismiss for lack of personal jurisdiction a court may determine the jurisdictional issue by receiving affidavits and other factual statements and need not accept as true any allegations in plaintiff's complaint that are controverted by affidavits). See also, St. Clair v. City of Chico, 880 F.2d 199, 201 (9th Cir. 1989); Kokkonen v. Guardian Life Ins. Co. of America, 511 U.S. 375, 377 (1994).

The Port's Motion to Dismiss is based on the simple premise that Complainant here faces insurmountable jurisdictional barriers to making a successful

claim. First, the Commission lacks personal jurisdiction because the Port has sovereign immunity from a private complaint at the FMC under the Eleventh Amendment to the Constitution. Second, the FMC lacks both personal and subject matter jurisdiction to apply the Shipping Act of 1984, as amended, either to the Port generally or to the Port's activities at the public and private oil dock facilities at issue or to the wharfage charges at the public oil docks or the rent at the private oil docks because the Port is not a marine terminal operator, generally or with respect to the public or private oil docks. Third, assuming *arguendo*, that the Complainant can overcome these extensive personal and subject matter jurisdictional issues, the Commission is without jurisdiction to award reparations to Complainant because the Commission would have to find (a) that the wharfage charge at the public oil docks or the rent at the private CITGO oil docks was unjust and unreasonable and then (b) establish what would be a just and reasonable rate. The Shipping Act of 1984 does not authorize the Commission to set rates for carriers or marine terminal operators. The Commission simply does not have the authority or jurisdiction to provide the relief that the Complaint requests: namely, to set and apply a different wharfage rate than the one in the Port tariff or a different rental rate than the one agreed upon for CITGO's private oil docks, and even if the Commission could set such rates the Complaint on its face does not meet the necessary statutory tests. Finally, the Commission has no jurisdiction over what is charged by the Port under its franchise agreements because what is charged is, by agreement, rent for certain real property rights, and the FMC is without authority over such commercial real estate arrangements.

While challenges to jurisdiction may be raised at any time, when possible, the FMC should address jurisdictional issues before addressing the merits of a case. River Parishes Co., Inc. v. Ormet Primary Aluminum Corp., 28 SRR 751, 762 (FMC 1999) and cases cited therein.

The CITGO Complaint therefore is an appropriate subject for dismissal at the outset of this proceeding.

III. STATEMENTS IN THE COMPLAINT AND FACTS FROM PUBLIC RECORDS

Complainant CITGO is a limited partnership. Complaint at 5, Section I A.

CITGO is ultimately owned by Petroleos de Venezuela, S.A., the national oil company of the Bolivarian Republic of Venezuela.
<http://Citgo.com/AboutCITGO/CompanyHistory.jsp>. Thus, if the Complainant is successful in this proceeding, the beneficiary of that success would be the government of Venezuela.

The Port is a political subdivision of the State of Texas. Complaint at 3, Section II A. It was created under Article 3, Section 52 of the Constitution and the General Laws of the State of Texas. On April 23, 1931, the Port was converted to a Navigation District operating under Article 16, Section 59 of the Constitution of the State of Texas. See, Meaney v. Nueces County Nav. Dist. No. 1 et al., 222 S.W. 2d 402 (Tex. Civ. App. 1949). If the Port is successful in this proceeding, the beneficiaries would be the citizens of the State of Texas.

The Complaint alleges that CITGO operates refineries at two locations along the Corpus Christi Ship Channel, including among its facilities CITGO's private oil docks. Complaint at 4, Section IV A. CITGO also alleges that by mutual real estate conveyances between the Port and CITGO's predecessors in interest, CITGO is required to enter into franchise agreements with the Port. Complaint at 4 and 5, Section IV D.

In fact, this is not as simple as CITGO has alleged. Many years ago, before CITGO operated at the Port, in connection with the construction of the ship channels in the Port, the Port entered into mutual conveyances or cross-conveyances with the then owners of the upland tracts of land along the routes of the ship channels. Under these cross-conveyances the Port conveyed to the littoral landowners the submerged lands between the shoreline of the littoral tracts and the landward bulkhead line of the ship channel to be constructed by the Port. The bulkhead line was the line established by the Port as the building line out to which docks could be built and beyond which docks could not be built. In consideration of the property rights granted to them in the cross-conveyances, the littoral landowners conveyed to the Port all littoral and riparian rights belonging to or appertaining to their littoral tracts and the submerged lands. In each of these cross-conveyances, the landowner agreed not to use the submerged land conveyed to it by the Port for a business needing access to the ship channel without first obtaining a franchise from the Port to cross the bulkhead line of the channel upon reasonable conditions and rentals. In each cross-conveyance, the Port agreed to grant the littoral landowner a franchise for any purpose, except a railway terminal, granting the landowner the right of access to the channel over the channel's bulkhead line from the landowner's property with reasonable rentals and conditions for the protection of the of the Port and its tenants. Without any littoral or riparian rights, the landowners had no legal right to cross the bulkhead line until it had received a franchise giving it the right to do so. In exchange for a franchise,

each landowner agreed to pay rent to the Port, which rent was based upon the quantity of shipments made over the landowner's private dock, to be an amount equal to, or in some cases not greater than, fifty percent (50%) of the Port's then current tariff wharfage rate on the same type of cargo.^{2 3}

Separate and apart from the rent charged by the Port to CITGO related to the CITGO private oil docks under the franchise agreements, the Port charges wharfage to CITGO for CITGO's use of the Port's public oil docks. Complaint at 5, Section IV F. Corpus Christi owns and operates 11 public oil docks with berths ranging from 246 feet to 1,000 feet with berth depths. up to 45 feet. The largest are designed to handle 100,000 DWT tankers.

www.portofcorpuschristi.com/facilities/inner-harbor/liquid-bulk-docks.html.

Both the private and public oil dock facilities within the Port are served exclusively by tankers or oil barges to move crude oil and a wide variety of petroleum and petrochemical products through pipelines that are on the docks, and run to and from these docks. The docks are incapable of handling general cargo because of the presence of the pipelines and in fact no vessels call at the oil docks other than liquid bulk vessels. Declaration of John P. LaRue, Attachment B to this Motion. A picture of a typical oil dock in the Port of Corpus Christi, and a general description of the vessels that call at such facilities, can be found on the Port's web site at

www.portofcorpuschristi.com/facilities/inner-harbor/liquid-bulk-docks.html.

²While CITGO through acquisitions and mergers acquired rights under the franchise agreements relating to what are viewed as CITGO's private oil docks, all of the CITGO franchises except for Oil Dock No. 8 have expired and CITGO and the Port have been negotiating new franchise agreements for these private oil docks. While the negotiations continue, CITGO and the Port have an agreement under which CITGO continues to pay rent at the rates established in the expired franchise agreements. For the benefit of the Administrative Law Judge and CITGO counsel, rather than require a search of the Port public records, a copy of each of the franchise agreements or in the case of Oil Dock No. 7, the agreement in lieu of a franchise agreement to pay rent until a franchise agreement was in place, for each of the private oil docks used by CITGO, is attached hereto as Attachment A. Each contains a section for the payment of "rentals" for the rights and benefits received and will be addressed collectively as "franchise" or "franchise agreements" hereafter.

³The franchise agreements are not subject to FMC jurisdiction under 46 USC 40301(b) because the Port is not a marine terminal operator and CITGO is not a common carrier.

Detailed descriptions of two of the CITGO private oil docks, Oil Dock No. 3 and Oil Dock No. 6, showing that they only handle tankers and/or barges, also can be found at <http://seaport.findthebest.com/detail/3860/Citgo-Refining-And-Chemicals-Corpus-Christi-Refinery,Ship Dock No.3-PortFacilites,Texas> and <http://seaport.findthebest.com/detail/3860/Citgo-Refining-And-Chemicals-Corpus-Christi-Refinery,BargeDockNo.6-PortFacilities,Texas>; See also, Complaint at 4, Section IV B.

The Complaint alleges violations by the Port of the Shipping Act, 46 U.S.C. §§ 41102(c), 41106(2) and (3) involving allegedly (a) subjecting Complainant to an undue or unreasonable prejudice or disadvantage; (b) granting an undue preference or advantage with respect to users of the Port's non-liquid bulk facilities; (c) failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing or delivering of property; and (d) unreasonably refusing to deal or negotiate with Complainant regarding a modification of the alleged unreasonable rates and charges. Complaint at 2, Preamble. As shown below, assuming arguendo, the truth of the allegations, the FMC does not have either personal or subject matter jurisdiction over the Port or over the services rendered by the Port to CITGO's facilities, oil tankers and barges.

IV. THE ELEVENTH AMENDMENT TO THE UNITED STATES CONSTITUTION IMMUNIZES THE PORT FROM PRIVATE SUIT BEFORE THE FMC

In Meaney v. Nueces County Nav. Dist. No. 1 et al., 222 S.W. 2d 402 (Tex. Civ. App. 1949), the Texas Court of Appeals stated.

“The Port is a Navigation District being a governmental agency and body politic incorporated with governmental powers and existing under the laws of Texas. Its boundaries extend to and include all of Nueces County. After an election on October 31, 1922, it was created under Article 3, Section 52 of the Constitution and the General Laws of the State of Texas, Vernon's Ann. St. On April 23, 1931, Appellee was duly converted to a Navigation District operating under Article 16, Section 59 of the Constitution of the State of Texas (Conservation and Reclamation) and the laws applicable thereto and so exists today.”

Conclusive on the issue of sovereign immunity, both federal and Texas state courts have found the Port to be protected by sovereign immunity against private suits. No court, federal or state, has found to the contrary. In Pillsbury Company, Inc. v. The Port of Corpus Christi Authority, 66 F.3rd 103 (5th Cir. 1995), cert. denied, 517 U.S. 1203 (1996), the U.S. Court of Appeals for the Fifth Circuit unequivocally stated:

“The district court’s finding that the Corpus Port is legally and factually indistinguishable from the Port of Houston Authority (‘Houston Port’) is unassailed in this appeal. Accordingly, we are bound by our decision in *Kamani v. Port of Houston Authority*, in which we upheld an earlier decision finding the Houston Port ‘a creature of state law and a political subdivision of the State of Texas’ entitled to Eleventh Amendment immunity. *Id.* at 613 (quoting *McCrea v. Harris County Houston Ship Channel Navigation Dist.*, 423 F.2d 605, 607 (5th Cir.), cert. denied, 400 U.S. 927, 91 S.Ct. 189, 27 L.Ed. 2d 186 (1970)). Therefore, we find that the Corpus Port, like the Houston Port, is entitled to Eleventh Amendment immunity. “

[footnote omitted].

The Fifth Circuit did not stop there. First, it rejected the applicability of the Supreme Court decision in Hess v. Port. Auth. Trans-Hudson Corp., 513 U.S. 30, 48 (1994) to the Port stating:

“[b]ecause the Corpus Port and the Houston Port were both created and still operate pursuant to Article XVI, Section 59 of the Texas constitution, Hess does not overrule *Kamani* or control the disposition here.” 66 F.3rd at 103.

Further, the court proceeded to apply a six part test for sovereign immunity which had been applied in another case, Jacintoport Corp. v. Greater Baton Rouge Port Commission, 762 F.2d 435 (5th Cir. 1985) (financial independence, autonomy, status under state law, whether the agency has express authority to sue and be sued in its corporate name, whether the agency has been granted to right to hold and use property, and whether the agency is primarily concerned with local, as opposed to statewide problems) and found that the tests weighed in favor of immunity:

“Even were we to determine that the application of the Jacintoport six-part test for determining Eleventh Amendment immunity is appropriate in this case, we would conclude upon the application of the Jacintoport test that the Corpus Port is entitled to such immunity.”

Id. at 104, fn. 5.⁴

The rejection by the Fifth Circuit of the application of the standards in Hess v. Port. Auth. Trans-Hudson Corp., to the status of the Port in the instant case, followed by a denial of a petition for a writ of certiorari, is important because the FMC has in other sovereign immunity cases utilized the Hess standards to make a determination of immunity. See, e.g., Carolina Marine Handling, Inc. v. South Carolina State Ports Authority, et al., 30 SRR 1017, 1029 (FMC 2006) (Citing to Hess, the Commission states that the Supreme Court has developed “broad factors that must be analyzed in order to reach a determination of whether an entity is an arm of the state.”). However even the Commission realizes that the lower courts can have a “particular standard [which] varies somewhat from circuit to circuit.” *Id.* at 1029. The use of the Hess rationale is not relevant or necessary when there have already been Federal and state determinations that the Port of Corpus Christi has sovereign immunity.⁵

⁴ CITGO will undoubtedly state in response that the 5th Circuit decision in Southwestern Bell Telephone Company v. El Paso County Water Improvement District No. 1, 243 F.3d 936 (5th Cir. 2001) casts doubt on the findings of Pillsbury, *supra*. But Southwestern Bell, while critical of Pillsbury, does not and cannot overrule Pillsbury which remains the seminal and controlling case as to the status of the Port of Corpus Christi under the Eleventh Amendment. Indeed, Pillsbury has been cited as precedent in at least six other federal court cases. See, Ysleta Del Sur Pueblo v. El Paso County Water Improvement Dist. No. 1, 222 F.3d 208 (5th Cir. 2000); Vogt v. Bd. Of Commissioners of Orleans Levee District, 294 F.3d 684 (5th Cir. 2002); Vital Health Care, Inc. v. Horn, 2008 U.S. Dist. LEXIS 94778 (S.D. TX); Bisong v. University of Houston, 2006 U.S. Dist. LEXIS 58346 (S.D. TX) ; Lang v. Orleans Levee District, 1998 U.S. Dist. LEXIS 6842 (E.D. LA.); Stecyk v. Bell Helicopter Textron, 1998 U.S. Dist. LEXIS 44 (E.D. PA).

⁵ The Hess rationale also has been rejected by a U.S. District Court in Texas in an attempted application to a Texas water district. Celanese Corporation v. Coastal Water Authority, et al., 475 F.Supp. 2d 623 (S.D. Tex. 2007). In finding for sovereign immunity the court stated: “The Hess decision does not establish a blanket rule that a financially self-sufficient entity cannot qualify for Eleventh Amendment immunity.” *Id.* at 633. See also, Vogt v. Board Of Commissioners Of Orleans Levee District, 294 F.3d

The U.S. Fifth Circuit Court of Appeals also has held that

“in determining immunity under the Eleventh Amendment, a factor that ‘subsumes all others’ is the treatment of the entity in state courts. *Huber, Hunt & Nichols v. Architectural Stone Co.*, 5 Cir. 1980, 625.” *Jacintoport*, *supra* at 438.

Under the laws and decisions of the State of Texas and its courts the Port has “immunity from suit” under the doctrine of sovereign immunity except in cases for which the legislature has expressly waived the immunity. No such waiver has been given under our facts.

In *KCS v. Port of Corpus Christi Authority*, 305 S.W.3d 296 (Tex. 2009) the Texas Court of Appeals affirmed a lower court ruling that the Port of Corpus Christi has sovereign immunity and cannot be required to arbitrate a dispute with the Kansas City Southern Railroad. The court noted:

In Texas, sovereign immunity has two components: (1) immunity from liability, which bars enforcement of a judgment against a governmental entity, and (2) immunity from suit, which bars suit against the entity altogether. *Tooke v. City of Mexia*, 197 S.W.3d 325, 332 (Tex. 2006).

The court noted that the decision on whether the Port has sovereign immunity and did not have to engage in the arbitration was a decision that could be made by the state court and did not have to be decided in the arbitration. The state court, like the Fifth Circuit U.S. Court of Appeals, found immunity from private suit for the Port of Corpus Christi.

As the Supreme Court of the United States stated in *Federal Maritime Commission v. South Carolina State Ports Authority*, *supra* at n.6, 760 (2002), the sovereign immunity bars not only the courts but also federal agencies such

684, 689 at n. 2 (5th Cir. 2002) (citing *Pillsbury* as establishing a Fifth Circuit position that *Hess* is not applicable where the defendant is a single-state entity and not a bi-state creation but notes Supreme Court may not agree.) and *Federal Maritime Commission v. South Carolina State Ports Authority*, 535 US 743, 765(2002) (*Hess* effort to afford significance to factor of damages potentially accessing state treasuries misses point that the central purpose of the sovereign immunity doctrine is to “accord the States the respect owed them as joint sovereigns.” The FMC is barred from jurisdiction even where no reparations is sought by the private party.)

as the Federal Maritime Commission from adjudicating private complaints against non-consenting states or arms of states such as ports. See also, Puerto Rico Ports Authority v. Federal Maritime Commission, 531 F3d 868 [31 SRR 400, 407] (D.C. Cir. 2008).

The Port of Corpus Christi has sovereign immunity under the Eleventh Amendment and under the law of the State of Texas from the CITGO Complaint before the FMC and therefore the FMC lacks jurisdiction to accept and hear a private suit against the Port.

V. THE COMMISSION HAS NO JURISDICTION OVER THE PORT BECAUSE THE PORT IS NOT A MARINE TERMINAL OPERATOR UNDER THE SHIPPING ACT OF 1984, AS AMENDED

It is a fundamental principle of law that an administrative agency is not a court of general jurisdiction but operates under jurisdiction limited by the statute which it administers. F.M.C. v. Seatrain Lines, Inc., et al., 411 U.S. 726, 745 (1973). As the Commission succinctly put it in American Union Transport v. River Plate & Brazil Conferences, 5 F.M.B. 216, 224 (1957):

[W]e wish to point out that this agency's jurisdiction is as set out in statute, and we cannot, by our own act or omission, enlarge or divest ourselves of that statutory jurisdiction.

In order for the FMC to have personal jurisdiction over the Port of Corpus Christi, the Port must be proven to be a "marine terminal operator" as that term is defined at 46 USC 40102(14):

(14) MARINE TERMINAL OPERATOR.—The term "marine terminal operator" means a person engaged in the United States in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier, or in connection with a common carrier and a water carrier subject to subchapter II of chapter 135 of title 49. (Emphasis added.)

Since a marine terminal operator must serve common carriers, then the definition of "common carrier" as set forth in the Shipping Act of 1984, 46 USC 40102(6), becomes important:

(6) COMMON CARRIER.—The term "common carrier"—

(A) means a person that—

(i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;

(ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and

(iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country; but

(B) does not include a carrier engaged in ocean transportation by ferry boat, ocean tramp, or chemical parcel-tanker, or by vessel when primarily engaged in the carriage of perishable agricultural commodities—

(i) if the carrier and the owner of those commodities are wholly-owned, directly or indirectly, by a person primarily engaged in the marketing and distribution of those commodities; and

(ii) only with respect to the carriage of those commodities.

(Emphasis added.)

Whether the Port is a marine terminal operator and whether “common carriers” serve the Port are legal questions and under the Twombly decision the allegations in the Complaint as to the status of the Port are legal conclusions and are not entitled to the “assumption of truth.” Twombly, at 555.

It is well understood from the case law that one way to distinguish “common carriers” from “ocean tramps” is that tramp vessel owners do not operate vessels that provide liner services that operate on regular routes and schedules which liner service is an indicia of a “common carrier”. See, Tariff Filing Practices, Etc., of Containerships, Inc., 6 SRR 483 (FMC 1965). The fact that the term “common carrier” excludes “ocean tramp” vessels provides clear evidence that tramp vessels can be distinguished by contrasting them with a liner operator.⁶ It also is true, and fatal to the claims of CITGO, that Section

⁶The U.S. Bureau of Labor Standards provides a good comparison between liner vessels and tramp vessels:

10 of the Shipping Act of 1984, as amended, which contains the prohibited acts provisions on which CITGO relies to charge the Port with alleged violations, specifically excludes ocean tramps from its coverage. As stated in the legislative history of Senate Report No. 99-284 (99th Cong. 2d Sess., April 22, 1986) as to H.R. 739 which was enacted as P.L. 99-307, Miscellaneous Changes to Laws Affecting the Coast Guard, and contained provisions to make the definition of "common carrier" crystal clear:

The provisions of H.R. 739 also remedy a drafting problem in the Shipping Act of 1984 relating to ferryboats and ocean tramps. The definition of 'ocean common carrier' in Section 3(18) of the Act states that the term does not include such vessels. The provisions of the Act such as those of Section 10 proscribing prohibited acts, however, apply to the the more inclusive class of "common carriers" and not only to "ocean common carriers." The legislation explicitly excludes ferryboats and ocean tramps from the definition of 'common carrier,' thereby resolving any uncertainty as to whether the provisions of the act governing 'common carriers' are applicable to activities involving those vessels.

U.S. Cong. And Adm. News, Vol. 4, 99th Cong. 2nd Sess. 1986 at 1319.

While CITGO alleges in its Complaint, Paragraph II.C that certain named entities are common carriers that serve the Port of Corpus Christi, ⁷ not one of the carriers named by CITGO provides common carrier service to the Port of Corpus Christi. The Declaration of Captain Anthony Alejandro, who is the Director of Operations and Harbormaster at the Port of Corpus Christi, Attachment C hereto, provides clear and accurate information that supports the conclusion that the Port does not have any common carrier service.

Ocean liner vessels operate by definition via regular schedules. **They differ from tramp and tanker ocean shipping services in that these latter vessels operate irregular schedules determined by negotiation between shipper and ship owner** and generally carry bulk goods and liquid commodities, respectively. BLS only measures inbound container loads." (Emphasis added.) <http://www.bls.gov/mxp/olfact.htm>

Said another way, in liner shipping the carrier establishes the ports of call; in tramp shipping the cargo interest makes the determination.

⁷ CITGO does not allege that any of these companies operate vessels that call at the public or private oil docks.

As Captain Alejandro declares: liquid petroleum cargoes moving in tankers and barges make up approximately 85% of the Port's total cargo throughput. An additional 12% to 15% is made up of dry bulk cargoes moving in dry bulk vessels. The remainder, less than one percent, of the vessels that call at the Port's general cargo docks, call at the Port on a sporadic basis, generally only discharging non-containerized breakbulk cargo constituting a single commodity for a single shipper/consignee. These vessels come to berth on a first come, first served basis. The fact that the vessels only discharge cargoes of a single commodity for a single shipper/consignee demonstrates that the vessels are not held out to the general public. See, Containerships, supra. Captain Alejandro's Declaration states that his staff has reviewed every vessel that has called at the Port's general cargo docks during the last three years and that he can find no discernible pattern of service that could be viewed as a regularly scheduled service at the Port to serve the general public. Captain Alejandro notes:

As far as I can ascertain, not one of the vessels that called at the Port was held out to the general public to load or discharge cargoes at the Port. I have not found any advertising of service to or from the Port in newspapers, the trade press or on the Internet. If the Port is mentioned on a vessel operator's website, like that of Industrial Maritime Carriers, it states Corpus Christi would be served "on inducement."

Captain Alejandro specifically looked at the companies named in Paragraph II.C of the Complaint and has noted the following in his Declaration:

Green Chartering AS or Green Reefers has had no vessels call at the Port of Corpus Christi in the three years prior to September 2, 2011.

SCM Lines – Transportes Maritimos LDA had two vessels that made five calls at the Port of Corpus Christi in the three years prior to the filing of the Complaint. On each call the vessel discharged cargoes of ceramic proppants for a single consignee and loaded no cargoes.

Grieg Star Shipping had thirteen calls during three years by eleven different vessels during the three years prior to September 2, 2011. Ten of the vessels discharged wind turbine components for a single consignee; the other three vessel calls discharged ceramic proppants for a single consignee. No cargo was loaded during these calls.

Westfal-Larsen Shipping had one vessel call in May, 2010. The vessel discharged wind turbine components for a single consignee.

Chinese-Polish Joint Stock Shipping Co. made a total of four calls during the three year period: one vessel discharged steel coils, another discharged project cargo and two discharged wind turbine components; each call involved a single consignee.

BBC Chartering and Logistics GmbH & Co. KG had 21 different vessels make 29 distinct calls at Corpus Christi at the general cargo docks in the three years prior to the filing of the Complaint by CITGO. With the exception of one vessel that loaded drilling rig parts from a single shipper, one vessel that loaded wind turbine components from a single shipper and two that loaded unspecified commodities for a single consignee, each BBC vessel discharged a single commodity for a single consignee. All 25 of these vessels calls discharged wind turbine components for a single consignee.

Industrial Maritime Carriers had nine vessels that made fifteen calls at Corpus Christi general cargo docks in the three years prior to September 2, 2011. With the exception of two vessel calls that loaded drill rig parts or project cargo for a single shipper, all other vessels discharged wind turbine components for the same consignee.

All of these vessels were provided berths on a first come, first served basis. All of the cargoes were break bulk cargoes. Vessels that discharged cargo did not load cargo during the call. Vessels that loaded cargo did not discharge cargo during the call. There was no service pattern or schedule to the vessel calls. I am unaware of any advertisements made for or on behalf of any of the companies alleged by CITGO to be common carriers.

Captain Alejandro is unequivocal in his analysis that there are no "common carriers" serving the Port.

The fact that a company may register as a common carrier with the FMC and publish a tariff does not automatically make them a common carrier at the Port of Corpus Christi. There must be evidence of a common carrier service at the Port and there is absolutely no evidence of such a service. Rather, the vessels operate as ocean tramps.

Finally, we expect that CITGO will contend that the Port has registered with the FMC that it is a marine terminal operator and that this should be conclusive as to its status. We suggest that absent evidence of operation of the Port in connection with common carriers, that notwithstanding the Port's representation of marine terminal operator status, it is not a marine terminal operator. See, Petchem, Inc. v. Canaveral Port Authority, Et al., 23 SRR 974, 982-983 (FMC 1986) (Commission requires actual service by common carriers to obtain jurisdiction. If jurisdiction were to be found on the basis of tariff publication and solicitation of common carriers, an explicit extension of existing precedent would be required).

The Executive Director of the Port, John LaRue has provided a declaration, Attachment B, that indicates that he has always desired to have common carrier service serving Corpus Christi and that Corpus Christi registered itself as a marine terminal operator in anticipation of developing such service at the Port. As Mr. LaRue notes in paragraphs 2 and 3 of his Declaration, his efforts to attract ocean common carrier service have not been successful:

Part of my responsibilities in the Port of Corpus Christi is to solicit and supervise the solicitation of new business for the Port. When I was the Executive Director of PRPA [the Philadelphia Regional Port Authority], PRPA was successful not only in maintaining but increasing common carrier services that carried fresh fruit from South America, and New Zealand, frozen meats from Australia and other containerized cargoes to its marine terminals. PRPA also received calls from vessels carrying project cargoes, steel, forest products and other ocean tramp vessel inducement cargoes which have been and remain the mainstay cargoes at PRPA. I hoped to make the Port of Corpus Christi, in addition to its servicing of petroleum and other bulk cargoes, a niche port for containerized and breakbulk cargoes by bring similar cargoes to those shipped through PRPA to the Port of Corpus Christi. Despite my contacts and efforts, and the efforts of the Port staff, however, while the Port has been able to develop ocean tramp services to carry commodities such as wind turbine parts and proppants, the Port has not been able to attract any regularly scheduled vessel services that are held out to the general public.

The fact is that liquid and dry bulk cargoes constitute over 99% of all cargoes that move through the public and private docks in the Port of Corpus Christi. General cargo, mainly breakbulk and military cargo, represents approximately ½ of 1 percent of the cargoes moving into or out of the Port and the non-military breakbulk vessel calls are by ocean tramps who sporadically call at the Port to discharge a shipment or load a shipment.

The Port does not serve common carriers as defined under the Shipping Act of 1984, as amended, and is therefore not subject to the personal jurisdiction of the Commission in this matter.

VI. ASSUMING, ARGUENDO, THAT THE ADMINISTRATIVE LAW JUDGE CONCLUDES THAT THERE ARE COMMON CARRIERS CALLING AT THE PORT, THE OIL DOCKS UTILIZED BY CITGO DO NOT SERVE COMMON CARRIERS AND THE PORT IS NOT A MARINE TERMINAL OPERATOR WITH RESPECT TO THE PUBLIC AND PRIVATE OIL DOCKS

Not all activities of a marine terminal operator are subject to the FMC's jurisdiction. In Bethlehem Steel Corp. v. Indiana Port Commission, 21 F.M.C. 629, 632 (1979), affirmed *per curiam*, 642 F.2d 1215 (DC Cir. 1980), the FMC stated:

It does not follow that all of the Port's activities are subject to section 17 [the 1916 Act predecessor to section 10(d)(1) of the 1984 Act, 46 USC 41102] simply because the Port is a terminal operator or "other person" with respect to some of its practices and regulations.

This view was confirmed in Puerto Rico Ports Authority v. Federal Maritime Commission, 919 F.2d 1254 (1st Cir. 1990) (FMC has no jurisdiction over PRPA in relation to its activities in the Port of Ponce although otherwise the PRPA may be subject to FMC jurisdiction).

As previously noted, to be subject to the F.M.C.'s jurisdiction, one must be a "marine terminal operator" which Section 3(15) of the 1984 Act [46 USC§ 40102 (14)] defines as a person engaged in the United States in the business of furnishing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier (Emphasis added.)

There are numerous cases in which the F.M.C. has found itself without jurisdiction because the activity did not fit within the above definition. Most importantly because (like the Port's public and private oil docks) the facility did not serve common carriers by water. See, New Orleans Shipping Association v. Bunge Corp., 8 F.M.C. 687 (1965) (When facility ceased serving common carriers, it no longer was subject to F.M.C. jurisdiction); McAllister Bros. v. N & W Ry Co., 20 F.M.C. 62 (1977) (Terminal at the port handled bulk coal exclusively and served only non-common coal carriers).

Here there is no common carrier activity at either the public or private⁸ oil docks. As admitted by CITGO in its Complaint, the purpose of the public and private oil docks is for "vessels carrying crude oil [to] call at both plants of CITGO's refinery for the purpose of discharging their cargoes." Complaint at 2, Section I C. "The crude oil is refined into various petroleum products, and from there sold and distributed via pipeline and vessels to various buyers." Complaint at 6, Id. In addition to the vessels calling at the CITGO private oil docks, CITGO further admits that it utilizes the Port's public oil docks for "[V]essels carrying crude oil" Complaint at 4 Section IV B. The applicable Port tariff provision cited by CITGO in the Complaint in charging CITGO for the crude oil and petroleum products coming across the public oil docks is the one that "pertains to all liquid bulk cargo including but not limited to crude and refined petroleum, petroleum products, petrochemicals, chemicals and other bulk liquids except liquefied natural gas (LNG)." Complaint at 5, Section IV F.

There also are a number of other references to the charges to CITGO in relation to the "public oil docks" and the "private oil docks" throughout the Complaint. Complaint at 6, Sections L, M, N, O. CITGO is a "liquid bulk user" or one of the "oil users" of the Port in contrast to what it alleges are unreasonable preferences for the "non-liquid bulk users of the port." Complaint at 5, Section IV F, 7 at Section IV O, 11 at Section V G. The vessels calling at the oil dock terminals, from the description contained in the Port's web site and from the descriptions of the CITGO private dock facilities cited in

⁸ As previously noted, the private oil docks for which CITGO has exclusive use and for which CITGO pays rent on the basis of a percentage of the wharfage charges, are not only outside the Commission's jurisdiction because the Port is not a marine terminal operator but also because the FMC has no jurisdiction over agreements between oil refiners and the Port that govern the private docks.

the section of this Motion titled Statements In The Complaint And Facts From Public Records, are only tankers and barges.

Vessels designed to carry crude oil or petroleum products are not "common carriers" as defined in the 1984 Act. Those tankers and barges are not held out to the "general public to provide transportation" 46 USC § 40102(6)(A). Rather, tankers and barges are ocean tramp vessels which are excluded from the definition of a common carrier under the Shipping Act of 1984: "The term 'common carrier' . . . (B) does not include a carrier engaged in transportation by . . . ocean tramp" 46 USC § 40102(6)(B).

The Fifth Circuit in U.S. v. Stephen Bros. Line, 384 F.2d 118, 124 n. 16 (5th Cir. 1967) cited the prevailing definition of a "tramp":

The Agency has emphasized the significance of multishipper cargo. A tramp 'is a carrier transporting on any one voyage cargo supplied by a single shipper only under a single charter party or contract of affreightment. The best example of such a carrier is the tanker. [Emphasis supplied]. The fact 'that ... vessels carried a variety of commodities for numerous shippers radically differentiates them from those coming within the definition (of an 'ocean tramp').

See also, Agreement No. 203-010633, 23 SRR 581 (I.D. 1985), Order of Discontinuance, 23 SRR 1408 (FMC 1986) in which the Commission held that an Agreement among bulk chemical companies could not be approved under the Shipping Act and granted antitrust immunity by the Commission because one of two owners and the third company formed to provide parcel tanker service to and from the U.S. were tramps, not common carriers, as they did not maintain a fixed schedule of sailings over regular routes between fixed terminals which were advertised in advance.

Moreover, the Port itself is not a marine terminal operator with respect to the private and public oil docks in serving tankers and barges at the public oil docks and providing services and benefits at the private oil docks. Analogous to the instant matter is the First Circuit's decision in Puerto Rico Ports Authority v. Federal Maritime Commission, *supra*. The Municipality of Ponce, Puerto Rico, filed a complaint against the Puerto Rico Port Authority asserting that PRPA was a marine terminal operator under the 1984 Act because it imposed a service charge on the Port of Ponce. The Court concluded that PRPA was not a marine terminal operator and relied on a plain reading of the Shipping Act of 1984:

A plain reading of §§ 3(15) and 10(d)(1) of the 1984 Act demonstrates that Congress did not intend that PRPA's activities at Ponce be subject to regulation under the Shipping Acts. PRPA, under any plausible interpretation, is not in the 'business of furnishing wharfage, dock, warehouse or other terminal facilities in connection with a common carrier' at the Port of Ponce."

The imposition of the service charge by PRPA did not operate to subject it to Commission jurisdiction, even though in its other activities not involving the Ponce facilities PRPA was subject to the 1984 Act.

The Port of Corpus Christi, "under any plausible interpretation, is not in the 'business of furnishing wharfage, dock, warehouse or other terminal facilities in connection with a common carrier" at the Port's oil docks.

The Puerto Rico Ports Authority decision is by no means an anomalous decision. The U.S. District Court for the District of Connecticut arrived at the same conclusion in Bridgeport & Port Jefferson Steamboat Co. v. Bridgeport Port Authority, 335 F. Supp. 2d 275 (D. Conn. 2004). There, the Steamboat Company, a lessee of the Port Authority's dock facilities, sued the Port Authority in District Court questioning the validity of a passenger wharfage fee assessed by the Port Authority. The leased dock was used exclusively by Steamboat Company for its ferries. The Port Authority filed a motion to dismiss, asserting the FMC possessed "primary jurisdiction" among other issues. With regard to the jurisdiction issue, the Court relied on Puerto Rico Ports Authority to find that the Commission would not have jurisdiction because Bridgeport was not a marine terminal operator.

The Court agrees with the reasoning of Puerto Rico as applied to the allegations here, and concludes that the Bridgeport Port Authority is not a 'Marine Terminal Operator' within the meaning of the Shipping Act. Under the plain meaning of the Act, the Port Authority is not engaged 'in the business of furnishing wharfage, dock, warehouse or other facilities in connection with a common carrier.' The only terminal facility operated by the Port Authority is the Water Street Dock, and it is undisputed that it is used only by the Ferry Company, which is not a common carrier. Although the Port Authority retains regulatory authority over the private cargo terminals at Bridgeport Harbor, there are no claims that it exercised significant control over the use of the terminals by common carriers or limited their access to the terminals. . . . Since the Port

Authority exercises little control over the operations of the private marine cargo terminals at the Bridgeport Harbor, and since its control over the Ferry Company does not impact those private facilities, it does not implicate the concerns behind the Shipping Act or make the Authority a Marine Terminal Operator' under the Shipping Act.

As the Court finds that the FMC does not have jurisdiction over this action, it need not further consider the application of primary jurisdiction. *Id.* at 282-83 (citations omitted and emphasis added).

These recent decisions plus the decisions cited by the Port at the beginning of this discussion in which the FMC lacked jurisdiction because the facilities did not service common carriers, are conclusive on the issue. The FMC does not have personal jurisdiction over either the Port or subject matter jurisdiction over the private or public oil docks because no common carriers call at these facilities.

VII. THE COMMISSION HAS NO AUTHORITY TO SET WHARFAGE RATES. EVEN IF IT DID THERE IS NO ONE WHO IS UNREASONABLY PREFERRED OR DISADVANTAGED AS ALL USERS OF THE PUBLIC OIL DOCKS ARE CHARGED THE SAME WHARFAGE RATE. IF THE COMMISSION CANNOT SET WHARFAGE RATES, IT HAS NO BASIS UPON WHICH TO DETERMINE REPARATIONS

The Complaint is segmented into two parts: (a) a challenge to the wharfage rates and other charges at the Port's public oil docks and (b) a challenge to the level of the rent at the private oil docks operated by CITGO within the Port. The issue of rent and the lack of Commission jurisdiction over rent charged in a commercial real estate transaction is addressed in the next section. Here, in relation to the public oil docks where wharfage is charged, in the Preamble on page one of the Complaint, CITGO states that it "has been charged wharfage and other charges that are excessive and not reasonably related to the value of services rendered to Complainant" and at page 10, Section V C "[t]hrough application of such [wharfage and other] charges, CITGO has been forced to subsidize costs associated with services provided to other users of port facilities." Lastly, CITGO seeks reparations for the alleged discrimination. Complaint at 11, Section VI.

However, the 1984 Act does not in any way purport to authorize the FMC to regulate and set wharfage rates at marine terminal facilities. Except with respect to controlled carriers in Section 9 of the Act, the Shipping Act of 1984, as amended, does not specifically or implicitly provide the FMC with authority to set or determine rates of any kind. The lack of FMC rate setting authority goes back to the 1916 Act. As stated by Administrative Law Judge Cogrove in Luigi Serra, Inc. v. Sea-Land Service, Inc., 20 SRR 625 (I.D. 1980) in a case in which the shipper alleged that the rates charged by Sea-Land were unreasonable as they were 60% of the value of the goods in the containers:

“Any attempt to use the provisions of Section 16 to sustain an allegation that the rates of the carrier are unreasonable would be an attempt to have the Commission prescribe reasonable rates for foreign commerce, a power the Commission does not possess. Heavy Lift Practices and Charges of Hapag-Lloyd (17 SRR 505, Initial Decision adopted 18 SRR 1491).”

20 SRR at 627

The legislative history leading up to the 1984 Act confirms the same view. In House Report No. 98-53 [Part 2 (98th Cong., 1st Sess., July 1, 1983), SR 60:26, in discussing the history of maritime regulation, the Report stated:

“The power to approve agreements and grant antitrust immunity is the principal power of the FMC; in addition, the FMC can investigate specific violations of the Shipping Act; however, except for a seldom exercised power to disapprove rates found to be ‘so unreasonably high or low as to be detrimental to the commerce of the United States’ (46 USC §817), the FMC does not possess authority to set rates in foreign commerce.”

Part 1 of the same report (April 12, 1983) echoes the same thoughts at SR 60:90:

“The existing regulatory scheme requires all carriers serving our foreign trades to file their rates with the FMC and have them open for public inspection. Charging rates other than those in published tariffs, termed ‘rebating’, is prohibited. The Commission has no authority to determine the appropriate level of rates except that it may prohibit any that are ‘so high or so low as to be detrimental to the commerce of the United States.’ (Emphasis added.)

The focus on carriers was appropriate as there was considerable discussion, both during the 1916 Act and the enactment of the 1984 Act, as to whether marine terminals should be regulated at all. Even the power of the FMC to determine whether carrier rates were unreasonably high or low did not survive into the 1984 Act.

While the FMC can determine, assuming it had personal and subject matter jurisdiction, whether a marine terminal operator engaged in unjust or unreasonable practices, and in making such determination could conclude that a wharfage charge was unjust or unreasonable, it does not follow that the FMC has the authority to determine what would be a reasonable charge.

Complainant has a second jurisdictional problem even in getting to whether a charge is unreasonable. Where, as here, the wharfage charge is the same for all users of the public oil docks, the FMC cannot find the charge unreasonable since the concept requires both a prejudiced and a preferred party, an impossibility when all similarly situated public oil dock users are charged an identical amount. As stated in Distribution Services Ltd. v. Trans-Pacific Freight Conference of Japan, 24 SRR 714, 720 (FMC 1988) in order to establish an allegation of an unreasonable preference or prejudice, it must be shown that (1) two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of injury. Even for the limited exception to these rules accorded under Credit Practices of Sea-Land Service, Inc. and Nedlloyd Lijnen B.V., 25 SRR 1308, 1315 (FMC 1990) where "on its face [a rate] is advantageous to a particular group or class of shippers or description of traffic", Complainant's position lacks total merit as all oil dock users are charged the same. Port Tariff 100-A, <http://www.portofcorpuschristi.com/business-development/port-tariff.html> Complainant cannot be disadvantaged when its wharfage rate on its face is no greater than all others pay.

Complainant cannot show that it is being treated unreasonably and it cannot obtain from the Commission a determination of what would be a reasonable rate because the FMC has no power to make such a determination.

VIII. AT MINIMUM THE COMMISSION HAS NO JURISDICTION OVER THE PORT'S CHARGES APPLICABLE AT THE PRIVATE OIL DOCKS AS THEY ARE MERELY RENT FOR CERTAIN REAL PROPERTY RIGHTS OBTAINED BY COMPLAINANT FROM THE PORT

Even if the Commission is found to somehow have jurisdiction over the Port public and private oil docks despite no common carriers calling at those facilities, and even though the Eleventh Amendment to the Constitution bars a private action against the Port at the FMC, there is a third reason the FMC cannot assume jurisdiction over charges by the Port applicable to the private oil docks: they are charges pursuant to rights granted in real estate contracts.

As stated in the Complaint and other documents of which the Administrative Law Judge can take official notice, in connection with the construction of the ship channels in the Port, the Port entered into mutual conveyances or cross-conveyances with the owners of the upland tracts of land along the routes of the ship channels. Under these cross-conveyances the Port conveyed to the littoral landowners the submerged lands between the shoreline of the littoral tracts and the landward bulkhead line of the ship channel to be constructed by the Port. The bulkhead line was the line established by the Port as the building line out to which docks could be built and beyond which docks could not be built. In consideration of the property rights granted to them in the cross-conveyances, the littoral landowners conveyed to the Port all littoral and riparian rights belonging to or appertaining to their littoral tracts and the submerged lands. In each of these cross-conveyances, the landowner agreed not to use the submerged land conveyed to it by the Port for a business needing access to the ship channel without first obtaining a franchise from the Port to cross the bulkhead line of the channel upon reasonable conditions and rentals. In each cross-conveyance, the Port agreed to grant the littoral landowner a franchise for any purpose, except a railway terminal, granting the landowner the right of access to the channel over the channel's bulkhead line from the landowner's property with reasonable rentals and conditions for the protection of the of the Port and its tenants. Without any littoral or riparian rights, the landowners had no legal right to cross the bulkhead line until it had received a franchise giving it the right to do so. In exchange for a franchise, the landowners agreed in the cross-conveyances to pay rent to the Port, based upon the quantity of shipments made over the landowners' private docks. In CITGO's case, the cross-conveyances applicable to three of its private docks specify a rental rate based on oil shipments in an amount equal to fifty percent (50%) of the Port's then current wharfage rate on oil; the cross-conveyances applicable to CITGO's other three private docks provide for a rental rate of not more than fifty percent (50%) of the Port's then current wharfage rate on the same type of cargo.

The fact that the Port and the land owners chose to use a percentage of wharfage as the standard by which to calculate the rent payment does not detract from the fact that the payment is for rent under a franchise arrangement. Indeed, the Complaint states at page 12, Section VI A, that the

Complaint as to the private oil docks is with respect to “unreasonable franchise fees”. It therefore is not within the FMC’s jurisdiction.

As stated in Port Authority of New York and New Jersey v. American Warehousing of N.Y., Inc., 30 SRR 1165, 1169 (NY Civ. 2006), in which the holdover tenant of a commercial property in the Port of New York and New Jersey was arguing for FMC jurisdiction over the dispute on its right to stay at the property:

“Also without merit are AWCNY’s contentions that the FMC has jurisdiction over this holdover proceeding and that the proceeding should be stayed pursuant to the doctrine of primary jurisdiction. The statutory function of the FMC is to regulate ‘common carriers by water and other persons involved in the foreign commerce of the United States under provisions of the Shipping Act of 1984.’ (46 CFR 501.2(a)). The Shipping Act was enacted to (1) establish a nondiscriminatory regulatory process for the carriage of goods by water, (2) provide an efficient and economic transportation system in the ocean commerce of the United States that is in harmony with, and responsive to, international shipping practices, (3) encourage development of an economically sound and efficient United States-flag fleet capable of meeting national security needs, and (4) promote the growth and development of United States exports through competitive and efficient ocean transportation and by placing a greater reliance on the marketplace. (46 USCS App. Section 1701 [2005]. ... The Act further states that it applies to agreements among marine terminal operators to ‘discuss, fix, or regulate rates or other conditions of service.’ (46 USCS App. Section 1703 (b) (1) (2005), and to ‘engage in exclusive, preferential, or cooperative working arrangements, to the extent that such agreements involve ocean transportation in the foreign commerce of the United States.’ (46 USCS App. Section 1703(b) (2). What is most critical to this analysis though, is what the Shipping Act does not state. Nowhere does the Act state that it governs or applies to commercial holdover proceedings between marine terminal operators.”

This same concept can be found in other FMC cases and in the FMC regulations. Earlier cases under the Shipping Act, 1916 acknowledged that the FMC had no jurisdiction over landlord-tenant leases. See, e.g., Agreement Nos. T-1685 As Amended And T-1685-6, 16 SRR 887, 906 (I.D. 1976) affirmed 16 SRR 1677 (FMC 1977) (A landlord-tenant lease in order to be within the FMC’s jurisdiction, must have some of the activities enumerated in Section 15 in addition to being a lease for real estate).

In addition, assuming *arguendo*, that the Shipping Act of 1984, as amended, has application to the Port of Corpus Christi, it states in Section 4(b) (46 USC Section 40301(b)) that the following marine terminal agreements are subject to the Act:

(b) MARINE TERMINAL OPERATOR AGREEMENTS.—This part applies to an agreement between or among marine terminal operators, or between or among one or more marine terminal operators and one or more ocean common carriers, to—

- (1) discuss, fix, or regulate rates or other conditions of service; or
- (2) engage in exclusive, preferential, or cooperative working arrangements, to the extent the agreement involves ocean transportation in the foreign commerce of the United States.

The cross conveyances and franchise agreements between the Port and the Complainant's predecessors are clearly outside the scope of the Commission's jurisdiction. Neither CITGO nor its predecessors are common carriers; the Port is not a marine terminal operator. The agreements do not set rates or otherwise fix or regulate conditions of service at the private oil docks. They also do not affect the vessels calling at the docks, or limit the cargo being transported over the docks. Finally the agreements do not regulate or prevent competition. The franchise agreements between non-FMC regulated entities simply provide for the payment of rent for the real property rights granted therein.

CONCLUSION

The Port has shown that it is immune from suit under the Eleventh Amendment of the Constitution; that it has sovereign immunity under the laws of the State of Texas; that the Port is not a "marine terminal operator" with respect to any of the Port's public docks; that the Port is not a "marine terminal operator" with respect to any of the oil docks; and that the Commission has no jurisdiction over the private oil dock franchise agreements; and that the FMC is without statutory authority to establish rates for carriers or marine terminal operators.

For the foregoing reasons, the Port of Corpus Christi respectfully requests that the CITGO Complaint be dismissed with prejudice.

Respectfully submitted,

Paul D. Coleman

Neal M. Mayer
Paul D. Coleman

Hoppel, Mayer & Coleman
1050 Connecticut Avenue, NW
10th Floor
Washington, DC 20036

October 21, 2011

Attorneys for:
Port of Corpus Christi Authority
Of Nueces County, Texas

Certificate of Service

I, Paul D. Coleman, certify that this Motion to Dismiss has been sent this 21st day of October, 2011 by email to the following:

Ms. Karen Gregory, Secretary, Federal Maritime Commission
Hon. Erin M. Wirth, Administrative Law Judge
Marc J. Fink, Esq.
David F. Smith, Esq.
Joshua P. Stein, Esq.

The appropriate number of hard copies have also been mailed, first class, postage prepaid, to the Secretary, Federal Maritime Commission.

Paul D. Coleman

Paul D. Coleman

ATTACHMENT A

OIL DOCK 8

COPY

FRANCHISE
PORT OF CORPUS CHRISTI AUTHORITY
OF NUECES COUNTY, TEXAS
TO
CITGO PETROLEUM CORPORATION

**BE IT RESOLVED BY THE PORT COMMISSION OF THE PORT OF CORPUS
CHRISTI AUTHORITY OF NUECES COUNTY, TEXAS:**

SECTION I
GRANT

There is hereby granted by the Port of Corpus Christi Authority of Nueces County, Texas, hereinafter called "Authority," to CITGO Petroleum Corporation, a Delaware corporation with a business address located at 1802 Nueces Bay Boulevard, Corpus Christi, Texas 78407, on behalf of itself and CITGO Refining and Chemicals Company L.P., and their respective successors and assigns, hereinafter called "Grantee" for a term beginning on the 1st day of November, 2007, and ending on the 31st of October, 2037, the right of access to the Corpus Christi Ship Channel and other waters of Nueces County, Texas (collectively the "Waters of Nueces County, Texas" and the right to use the Authority's property described and depicted on Exhibit A attached hereto (the "**Authority's Property**"), for all purposes necessary, proper or convenient in connection with the use and operation of its CITGO Oil Dock No. 8 facilities as now constructed or docks and dock facilities that may be hereafter constructed on the Authority's Property, for the purpose of a general cargo business and for the shipping and receiving by any mode of water transportation of oil and petroleum products and their several products and by-products by Grantee for itself and for others from all or any portion of the Grantee's adjacent terminal located on 33.914 acres of land described in the Special Warranty Deed dated May 15, 1992 from Mobil Pipeline Company to CITGO Petroleum Corporation recorded as Document No. 805167 in the Official Public Records of Nueces County, Texas ("**Grantee's Property**"). In addition, an access easement across the Authority's Property is granted to Grantee for the purpose of providing access between Grantee's Property and CITGO Oil Dock No. 8 facilities (the "**Easement**").

SECTION II
BULKHEAD LINE

Grantee may cross the south bulkhead line of the Corpus Christi Ship Channel shown on the attached Exhibit A (the "**Bulkhead Line**"), and have access to the Waters of Nueces County, Texas, to and from CITGO Oil Dock No. 8, and may operate, maintain, repair, replace, alter, enlarge and continue the operation of CITGO Oil Dock No. 8. Grantee may operate, maintain, repair and use the pile clusters, mooring clusters, bollards and kevels now located and used in connection with the operation of CITGO Oil Dock No. 8, and may also add thereto in such manner as may be necessarily or reasonably required to safely berth a vessel to said dock, and in connection therewith Grantee may use and continue to use the Authority's Property. Grantee

may not, without the prior written consent of Authority, construct any improvements north of the Bulkhead Line or on any land owned by the Authority, which is not part of the Authority's Property.

SECTION III **RENTALS**

For the rights granted to it hereunder, Grantee will pay to the Authority a rental upon the following basis:

- A. **General Cargo Business.** For all property transported by a general cargo business (and by "general cargo business" is meant a business handling the shipment by water of any property or commodity owned by a party, or being purchased or sold by a party, other than the holder of this franchise or one of its affiliates) a rental based upon the quantity of shipments made and to be equal to fifty percent (50%) of the then current tariff wharfage rate of the Authority on the same type of property or commodity;
- B. **Other Business.** For all property transported by a business other than a general cargo business (that is, a business handling the shipment by water of property or commodities owned by the holder of this franchise or one of its affiliates, or being purchased or sold by the holder of this franchise or one of its affiliates) a rental based upon the quantity of the shipments made and to be equal to fifty percent (50%) of the then current tariff wharfage rate of the Authority on the same type of property or commodity.

An "affiliate" as herein used means each entity which, directly or indirectly, controls or is controlled by or is under common control or ownership with the holder of this franchise, if the holder be a corporation or a limited partnership.

Grantee, its successors and assigns, shall keep and maintain a complete and accurate set of books and records showing all commodities shipped over, and to or from, any dock or docks constructed by the Grantee, its predecessors, successors or assigns, on the Property in order that the Authority may ascertain therefrom what rentals are due to the Authority from Grantee hereunder, and such books and records shall be subject to the inspection of the Authority, its agents and attorneys, at any and all reasonable times.

The rental payable hereunder shall be paid to the Authority at its offices in Corpus Christi, Nueces County, Texas, and shall be payable at such reasonable time or times as the Authority may direct by written notice to Grantee and by general rule or regulation which shall be applicable to all persons or parties holding permits or franchises similar to this franchise.

SECTION IV **CONDITIONS**

This franchise is granted with reasonable conditions for the protection of the Authority and its property and the property of its tenants, to-wit:

- A. **Hazards.** Grantee will at all times conduct its operation so as not to create any unusual fire or health hazard.
- B. **Railways.** Grantee will not for itself or for others, except with the consent of the Authority, build or operate a railway terminal for use in connection with the exercise of the rights granted by this franchise; provided, however, that Grantee may build or use spur railroad tracks in connection with its business and the exercise of its rights under this franchise.
- C. **Plans.** Prior to the construction of any structure or commencement of any work (including dredging or filling of submerged areas) on any submerged land for which a U. S. Department of the Army permit is required and prior to filing application for any such permit, Grantee will submit plans of the work to be undertaken to the Authority for its approval, which approval will not be unreasonably withheld. To facilitate the Authority's review, two (2) sets of formal plans that clearly define the project must be submitted to Authority for its prior approval, which approval will not be unreasonably withheld. The drawings must be prepared on a standard engineering format (24" x 36" drawings) and show all physical features and improvements in and around the project site and must be signed and sealed by a Professional Engineer registered in the State of Texas. In addition, a detailed site plan (minimum 1" = 50' scale) depicting the location and physical layout of the project site to include any area to be dredged, adjacent docking facilities, property lines, federal channels, bulkhead lines, existing channel depth elevations, etc., must be included with the formal plans submitted. The site plan must clearly show the bottom of cut line and top of slope line of any planned dredging. If any dredging is planned by Grantee, its agents, servants, contractors or employees that will, in Authority's judgment, based upon customary dredging operations, result in removal of a substantial quantity of earth or material from, or damage to, adjacent real property, Grantee must obtain the written permission of the adjacent property owner to carry out the work described for the project and submit it to the Authority with the formal plans.

Slips of sufficient depth shall be maintained to prevent vessels berthed at the dock from striking bottom due to lowering of the water level from passing vessels.

Copies of all permits for work in navigable waters issued to Grantee by the Department of Army or any other federal, state or other governmental agency shall be filed with Authority.

- D. **Compliance.** Grantee must perform all construction adjacent to the channel in conformity with applicable building codes and all applicable federal, state and other governmental laws and regulations for the area in which said construction is located; and Grantee must comply with the code of the National Fire Protection Association applicable to the project. Grantee must file with the Authority a copy of any permit it obtains in connection with such construction.
- E. **Pollution.** Grantee shall take all reasonable precautions to prevent the pollution of the Waters of Nueces County, Texas and shall faithfully observe all reasonable, non-discriminatory regulations adopted by the Authority to prevent the discharge of pollutants into such waters. Grantee must also comply with all federal, state and local laws and regulations relating to maintaining water quality in the Waters of Nueces County, Texas, and will file with the Authority copies of all permits received relating to water quality to the extent relating to activities hereunder. Grantee will also comply with Authority's Tenant Audit Program. Grantee will cooperate with the Authority's Tenant Audit Program (the "Program") which will consist of a scheduled review of Grantee's operations and activities, a review of Grantee's environmental management programs, and a tour of the Authority's Property to gain an understanding of Grantee's operations and activities and what measures Grantee is utilizing to comply with this franchise and applicable law. The review will be conducted at a minimum annually and more frequently if determined by the Authority to be necessary and agreed to by Grantee. All reviews will be conducted with at least thirty (30) days advance written notice from the Authority to Grantee, during normal business hours, and will be scheduled at the convenience of Grantee, with such scheduling not to be unreasonably delayed by Grantee. All communications, whether verbal or written, concerning the Program and any documents made available by Grantee to the Authority shall be kept confidential between Grantee and the Authority, unless disclosure is required by applicable law. Authority agrees that documents and materials that it may seek to review as a part of the Program may be subject to confidentiality agreements between Grantee and any other parties and/or subject to trade secret or other disclosure privileges or restrictions. Therefore, Authority agrees to cooperate with Grantee to maintain the integrity of such confidentiality agreements, privileges and/or restrictions and to keep all such documents confidential. Grantee will provide relevant documents for inspection by Authority, but no copies of Grantee's documents will be given to Authority. A conference with Authority staff setting forth the staff's observations will be provided to Grantee following the review.
- F. **Rules and Regulations.** The holder of this franchise is subject to reasonable, non-discriminatory rules and regulations which the Authority presently has in effect, or which it may implement in the future, which apply to rights and privileges granted by this or any similar franchise granted by Authority.
- G. **Indemnity and Release.** Grantee will defend, indemnify and hold harmless the Authority and its affiliates and their respective directors, officers,

employees, agents, successors and assigns of and from all nature of claims or liability for damages and expenses (including reasonable attorneys' fees and other defense costs) resulting from all claims, demands, causes of action, lawsuits, liabilities or damages arising out of or relating to this franchise agreement, including, but not limited to, the personal injury, illness or death of any person or persons (whether they be third persons, contractors or contractors employees, or employees of either of the parties to this franchise agreement) or damage to property, real, personal or otherwise of any party to this franchise agreement or any third party to the extent caused in whole or in part by Grantee's negligence or willful misconduct.

If any action or proceeding is brought against the Authority by reason of any claim described in this Section IV, subparagraph G, the Authority will be represented by its designated Counsel, or another attorney selected by the Authority, which attorney shall be subject to Grantee's prior written approval, which approval will not be unreasonably withheld, and Grantee will pay (to the extent provided for under the foregoing indemnity/defense provisions in this Section IV subparagraph G) the Authority's reasonable attorneys' fees and other expenses for the representation and defense of the Authority in such action or proceeding.

In consideration of the granting of this franchise and other good and valuable consideration, Grantee agrees that the indemnity in this Section IV Subparagraph G. complies with the fair notice requirements of *Dresser Indus., Inc. v. Page Petroleum, Inc.*, 853 S. W. 2d 505 (Tex. 1993). Grantee hereby waives any defense it may have that the indemnity agreed upon by Grantee in this Section IV subparagraph G. is of no effect or is unenforceable against Grantee by the Authority; and Grantee further agrees that it will not assert as a defense or otherwise, either directly or indirectly, in any action or claim for indemnity asserted by the Authority against Grantee based upon the indemnity in this Section IV subparagraph G. that the indemnity in this Section IV subparagraph G., is unenforceable or does not satisfy Texas law, including but not limited to fair notice and express negligence. *Ethyl Corp. v. Daniel Constr. Co.*, 725 S.W.2d 705 (Tex. 1987).

Grantee agrees to support the obligations to indemnify and hold harmless the Authority by the purchase of sufficient insurance (which may include self-insurance). Grantee shall name the Authority as an additional insured under its commercial general liability insurance coverage to the extent of Grantee's indemnity obligations under this franchise agreement.

SECTION V **IMPROVEMENTS**

Any and all structures and other improvements, which are, and may be, constructed and placed by Grantee, its successors and assigns, upon Authority's land, shall be and remain at all times

during the term of the franchise granted herein the property of Grantee, its successors and assigns. In the event Grantee, or its assignee, should elect in the future not to request Authority to renew the franchise granted herein, or earlier termination of the franchise granted herein based upon the terms of the agreement granting the franchise should take place, the dock and dock facilities presently known as CITGO Oil Dock No. 8, including all buildings, rail spurs and tracks, piping, pile clusters, mooring clusters, bollards and kevels and other equipment used in connection with the said dock ("the "Dock and Facilities"), shall, absent any written agreement between Authority and Grantee to the contrary at the time of installation remain the property of Grantee. Upon any expiration or termination of this franchise, Grantee, or its assignee will remove the Dock and Facilities, and Grantee, or its assignee will repair any damage caused by such removal, all within one hundred eighty (180) days after the date of expiration or termination of the franchise granted herein. In addition, any trade fixtures, furnishings and equipment which are installed by Grantee, or its assignee, at its expense, may be removed by Grantee, or its assignee, provided Grantee, or its assignee, removes the same and repairs any damage caused by such removal within one hundred eighty (180) days after the date of expiration or termination of the franchise granted herein. Any trade fixtures not removed by Grantee, or its assignee, within the time required are considered abandoned and automatically become Authority's property. If any trade fixture installed by Grantee, or its assignee, is abandoned after the franchise terminates, Grantee, or its assignee, must pay Authority any reasonable expense actually incurred by Authority to remove the trade fixture from the premises, less the fair market value of the trade fixture once removed, if Authority uses or sells the trade fixture.

SECTION VI **DEFAULT**

In the event of material default of Grantee in the performance of any of the terms and conditions herein stipulated to be done by it, or required of it under any valid law, rule or regulation of the government of the United States of America, the State of Texas or Authority, and in event such default shall be persisted in for sixty (60) days after the Authority has sent a written notice by registered or certified United States mail to Grantee at its Corpus Christi business address, advising it of the nature of such default, said franchise shall be subject to forfeiture at the instance of the Authority by a final judgment obtained by suit in a State District Court in Nueces County, Texas.

SECTION VII **ASSIGNMENT**

This franchise may be transferred or assigned to any person, firm or corporation eligible to receive the same under the terms and conditions of that certain partition deed more particularly described in Section IX of this franchise, but in the event the Grantee of this franchise or its successors or assigns shall cease to have or to hold the right of possession, use and occupancy of the Grantee's Property, under and by virtue of the covenants, terms and provisions of that certain partition deed described in Section IX hereof, then in that event this franchise shall be terminated and surrendered to the Authority for cancellation.

Any assignee of this franchise, upon taking transfer or assignment of the same, must file written evidence of such transfer or assignment and of assignee's acceptance of the same in the office of the Authority.

The right of assignment shall include the right of Grantee to convey this franchise by mortgage, deed of trust or any other security instrument. If Grantee shall be in default of any of the covenants or conditions of this franchise, the holder of the mortgage, deed of trust or other security instrument may, before forfeiture is invoked by the Authority, make any and all payments and do and perform any and all acts or things which may be necessary to prevent a forfeiture of this franchise and the party making such payments or performing such acts or things shall thereby be subrogated to all rights of the Grantee under this franchise. The Authority agrees that if the holder of any mortgage, deed of trust or other security instrument delivers copy of such instrument to the Authority, together with the address to which it desires notices to be sent, the Authority will send to the holder at the address specified copies of all written notices to be served on Grantee under and pursuant to the terms of this franchise. It is understood that the mortgagee, trustee and beneficiary of any security instrument shall in no way be liable to the Authority for any payments or for the performance of any other covenants and conditions of this franchise until such time as it shall acquire by assignment or conveyance from Grantee or by foreclosure or other proceedings provided by law or by the terms of the security instrument all the right, title and interest of Grantee under this franchise; provided, however, that any party who shall acquire said right, title and interest of Grantee, as above provided, shall thereby become liable for all payments and the performance of all other covenants and conditions theretofore and thereafter required to be made by Grantee under the franchise, as fully and to the same extent as if Grantee itself would have been if it still had retained its right, title and interest hereunder.

SECTION VIII GENERAL

All covenants, conditions and agreements of this franchise shall apply to and be binding upon the Authority and Grantee and their respective legal representatives, successors and assigns (when assignment is made in accordance with the provisions hereof). This franchise is made under the applicable laws of the State of Texas and if any term, clause, provision, part or portion of this franchise shall be adjudged invalid or illegal for any reason, the validity of any other part or portion hereof shall not be affected thereby, and the invalid or illegal portion thereof shall be deleted and ignored as if the same had not been written herein. The failure of Grantee or of the Authority to insist upon the strict performance of any of the covenants and conditions of this franchise, or the consent, either express or implied, of either party hereto to any act or omission by the other party in breach or default hereof, shall not be deemed or construed to be a waiver of any such covenants or condition except for that particular instance only and shall not constitute or be construed as a waiver of such covenant or condition or of any further or future breach or default thereof. The expense of publishing this franchise as required by law shall be borne by the Grantee.

SECTION IX
GRANTEE'S RIGHTS

The rights and privileges of Grantee arising out of the Partition Deed dated November 24, 1933 recorded in Volume 210 at page 12, *et seq.* of the Deed Records of Nueces County, Texas executed by Nueces County Navigation District No. 1 and Guaranty Title & Trust Company, Trustee and others (to which deed and the record thereof reference is made for all purposes) are expressly recognized and confirmed and are not, and shall not be, in any manner or respect lessened or diminished by the granting of this franchise and its acceptance by Grantee, nor by any surrender, cancellation, termination or forfeiture of the same or any part thereof.

The above franchise was introduced and read this 10th day of July, 2007 and passed to the second reading by the following vote:

Mr. Ruben Bonilla, Jr., Port Commissioner,	voting <u>AYE</u>
Mr. Bernard A. Paulson, Port Commissioner,	voting <u>AYE</u>
Mr. Mike Carrell, Port Commissioner,	voting <u>AYE</u>
Mrs. Yolanda G. Olivarez, Port Commissioner,	voting <u>AYE</u>
Mr. Robert J. Gonzalez, Sr., Port Commissioner,	voting <u>AYE</u>
Mrs. Judy Hawley, Port Commissioner,	voting <u>AYE</u>
Mr. Kenneth L. Berry, Port Commissioner,	voting <u>ABSENT</u>

The within and foregoing franchise read, adopted and approved on second reading and passed to third reading by the following vote, this the 14th day of August, 2007 at a meeting of the Port Commissioners of the Authority:

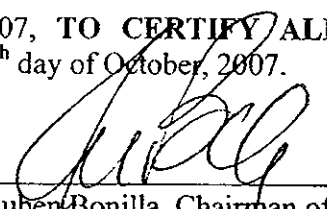
Mr. Ruben Bonilla, Jr., Port Commissioner,	voting <u>AYE</u>
Mr. Bernard A. Paulson, Port Commissioner,	voting <u>AYE</u>
Mr. Mike Carrell, Port Commissioner,	voting <u>AYE</u>
Mrs. Yolanda G. Olivarez, Port Commissioner,	voting <u>AYE</u>
Mr. Robert J. Gonzalez, Sr., Port Commissioner,	voting <u>AYE</u>
Mrs. Judy Hawley, Port Commissioner,	voting <u>AYE</u>
Mr. Kenneth L. Berry, Port Commissioner,	voting <u>AYE</u>

The within and foregoing franchise was read, adopted and approved on the third reading, and finally passed, by the following vote, this the 9th day of October, 2007 at a meeting of the Port Commissioners of the Authority, and the approval thereof and execution of the same by the Chairman of said Commission was authorized and directed, to be attested by the Secretary of said Commission.

Mr. Ruben Bonilla, Jr., Port Commissioner,	voting <u>AYE</u>
Mr. Bernard A. Paulson, Port Commissioner,	voting <u>AYE</u>
Mr. Mike Carrell, Port Commissioner,	voting <u>AYE</u>
Mrs. Yolanda G. Olivarez, Port Commissioner,	voting <u>AYE</u>
Mr. Robert J. Gonzalez, Sr., Port Commissioner,	voting <u>AYE</u>
Mrs. Judy Hawley, Port Commissioner,	voting <u>AYE</u>
Mr. Kenneth L. Berry, Port Commissioner,	voting <u>AYE</u>

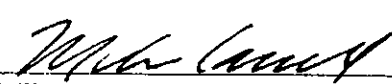
APPROVED this 9th day of October, 2007, **TO CERTIFY ALL OF WHICH**
WITNESS OUR OFFICIAL SIGNATURES this 9th day of October, 2007.





Ruben Bonilla, Chairman of the Port
Commission of Port of Corpus Christi
Authority of Nueces County, Texas

ATTEST:



Mike Carrell, Secretary of the Port
Commission of Port of Corpus Christi
Authority of Nueces County, Texas

ACCEPTANCE OF FRANCHISE

CITGO Petroleum Corporation, a Delaware corporation, on behalf of itself and CITGO Refining and Chemicals Company L.P., hereby accepts that certain franchise covering 33.914 acres, more or less, which was granted to CITGO Petroleum Corporation, on behalf of itself and CITGO Refining and Chemicals Company L.P., by Port of Corpus Christi Authority of Nueces County, Texas, and which was read and passed on readings on July 10th, August 14th, and October 9th, 2007, and further agrees that CITGO Petroleum Corporation, on behalf of itself and CITGO Refining and Chemicals Company L.P. and their respective successors and assigns, shall in all things be bound by the terms and provisions of said franchise.

EXECUTED this 17th day of OCTOBER, 2007.

CITGO PETROLEUM CORPORATION,
on behalf of itself and CITGO Refining
and Chemicals Company L.P.

By: _____

Name: _____

Title: _____

STATE OF TEXAS §
 §
COUNTY OF NUECES §

BEFORE ME, the undersigned authority, on this day personally appeared _____ of CITGO Petroleum Corporation, known to me to be the person and officer whose name is subscribed to the foregoing instrument and acknowledged to me that the same was the act of the said CITGO Petroleum Corporation, a Delaware corporation, on behalf of itself and CITGO Refining and Chemicals Company L.P., and that he/she executed the same as the act of such corporation for the purposes and consideration therein expressed, and in the capacity therein stated.

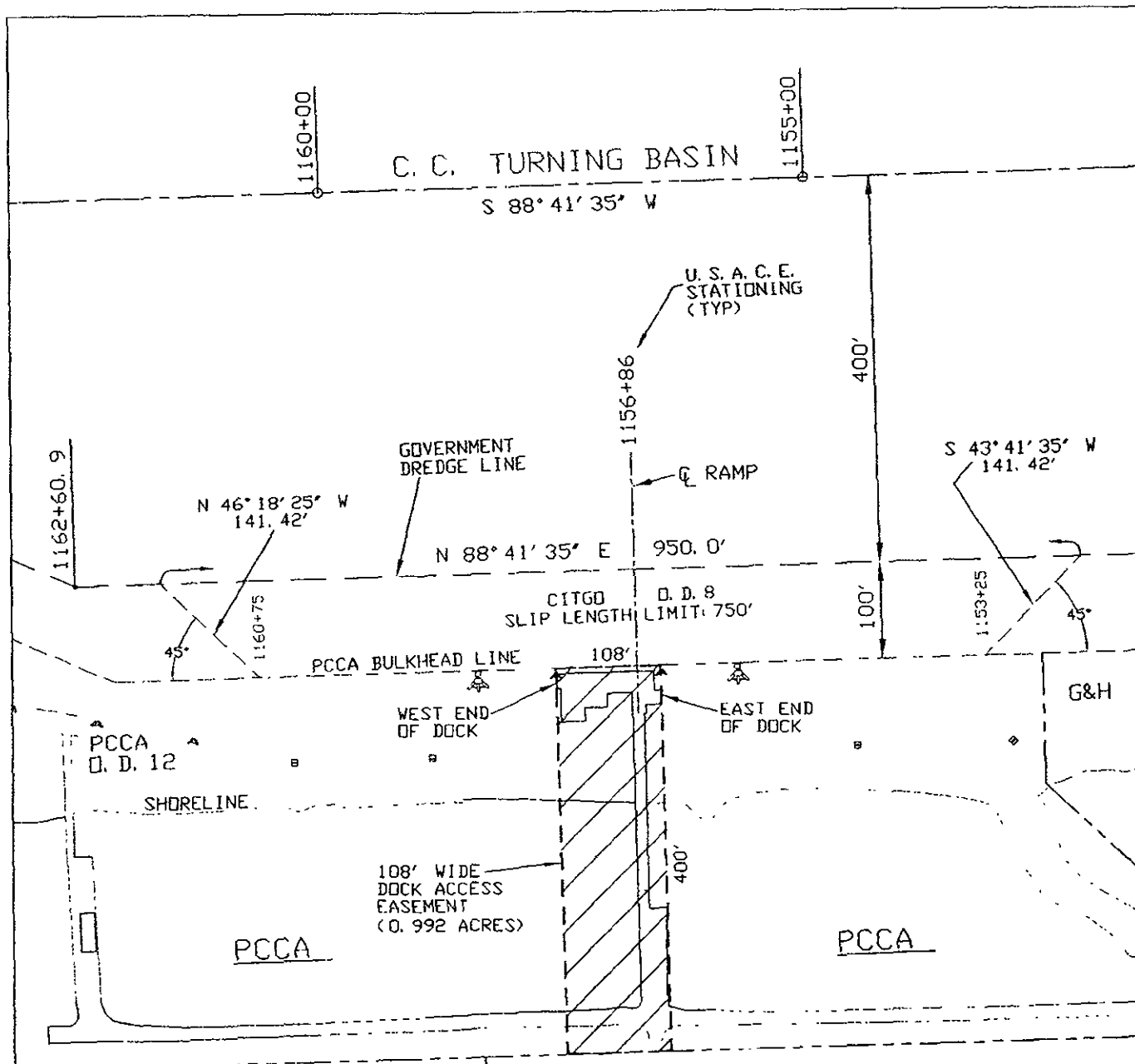
GIVEN UNDER MY HAND AND SEAL OF OFFICE this 17th day of OCTOBER, 2007.



Notary Public, State of Texas

State of Texas County of Harris
Sworn to and subscribed before me this 17
day of OCTOBER 2007

Notary Public



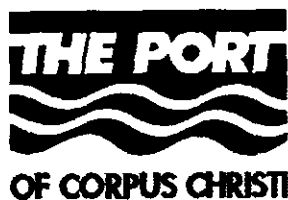
FLINT HILLS PROPERTY
16.839 ACRES

CITGO PROPERTY
33.914 ACRES

EXHIBIT A

CITGO DD 8-0, 992 ACRE LEASE

NO.	DATE	REVISION



PORT OF CORPUS CHRISTI AUTHORITY

CITGO OIL DOCK 8 FRANCHISE
AGREEMENT

SCALE: 1"=150'

DWN. BY: RALPH

0.992 ACRES

DATE:

AUG., 2007

OIL DOCK 7

AGREEMENT

THIS AGREEMENT is made this 8th day of August, 1989, by and between Port of Corpus Christi Authority of Nueces County, Texas, acting herein by and through its Port Commissioners, duly authorized, ("Authority"), and Champlin Refining and Chemicals, Inc., a Delaware corporation (successor to Champlin Refining Company and Champlin Petroleum Company) with authority to do business in Texas, ("Champlin"), and is based upon the following:

FACTS

Champlin has entered into a Dock Lease with PPG Industries, Inc. ("PPG") authorizing Champlin to place pipelines on and use a portion of the PPG real property and dock structure known as U. S. Army Corps of Engineers Station 1222 + 48.83. The dock structure is located on the Avery Point Turning Basin, the waters of which are herein referred to as the "Channel". An executed copy of the Dock Lease which is dated April 1, 1986, has been furnished by Champlin to Authority.

The Dock Lease is for a primary term of four years commencing April 1, 1986, and terminating March 31, 1990, subject, however, to its continuing in two year periods of time thereafter.

Provided certain contingencies occur, the Dock Lease authorizes Champlin to purchase from PPG certain property including but not limited to approximately 600 feet of frontage along Authority's south bulkhead line east of the dock which is the subject of the lease.

Champlin acknowledges that it has been advised that its use of the dock as well as its use of any of the land it might purchase under the option, should such option be exercised, is subject to the provisions of the following

DUPLICATE

ORIGINAL

instruments, each executed by Authority, on the one hand, and PPG (previously called Southern Alkali Corporation), on the other hand, to-wit: (1) Cross-conveyance dated October 23, 1933, recorded Volume 208, page 394; (2) Cross-conveyance dated September 18, 1947, recorded Volume 394, page 564; and, (3) instrument amending each of the said two Cross-conveyances being dated March 22, 1977, recorded Volume 1602, page 549 -- all in Deed Records of Nueces County, Texas, which requires PPG to obtain a permit of franchise and for Authority to grant a franchise upon reasonable conditions and rentals as defined therein for use of the dock or the option property for shipment of commodities by water.

Because the primary term of the Dock Lease is four years, Champlin and Authority agree that there is no need for the parties to go through the formalities and expense of publication and reading of a franchise which would normally be anticipated to extend for thirty years but that Champlin agrees to be bound by the provisions which would be incorporated in a franchise were it to be issued, which are as hereinafter set forth.

Accordingly, in consideration of the premises and the mutual agreements hereinafter set forth Champlin and Authority agree as follows:

I.

Should Champlin exercise its option to purchase the "offered property" described in the Dock Lease, and continue to use the Dock, this agreement shall terminate and be of no further force and effect and Champlin shall be bound by the two above mentioned Cross-conveyances dated October 23, 1933, and September 18, 1947, and the instrument dated March 22, 1977, amending them.

II.

For the primary term of the Dock Lease beginning April 1, 1986, but not beyond March 31, 1990, Authority and Champlin agree that Champlin shall be bound by the following provisions which would be provisions in a franchise were it to be issued to Champlin as of this date, to-wit:

SECTION I.

In consideration of the Authority hereby agreeing that Champlin may cross the Authority's bulkhead line at the dock covered by the aforesaid Dock Lease, Champlin shall pay to Authority a rental, based upon all property moving to or from the dock which is covered by the Dock Lease, as follows:

A. For all property transported as by a general cargo business (and by "general cargo business" is meant a business handling the shipment by water of any property or commodity owned by a party, or being purchased or sold by a party, other than the holder of the Dock Lease or one of its affiliates) a rental based upon the quantity of shipments made and to be equal to fifty per cent (50%) of the then current tariff wharfage rate of Authority on the same type of commodity or property;

B. For all property transported as by a business other than a general cargo business (that is, a business handling the shipment by water of property or commodities owned by the holder of the Dock Lease or one of its affiliates, or being purchased or sold by the holder of this franchise or one of its affiliates) a rental based upon the quantity of the shipments made and to be an amount not more than fifty per cent (50%) of the then current tariff wharfage rate of Authority on the same type of property or commodity.

An "Affiliate" as herein used is a corporation the controlling interest in which is owned by the same persons or corporations owning controlling interest in the holder of the Dock Lease, if the holder be a corporation.

Champlin, its successors and assigns, shall keep and maintain a complete and accurate set of books and records showing all commodities shipped over, and to or from, the dock covered by the Dock Lease in order that Authority may ascertain therefrom what rentals are due to Authority from Champlin hereunder, and such books and records shall be subject to the inspection of Authority, its agents and attorneys, at any and all reasonable times.

The rental payable hereunder shall be paid to Authority at its offices in Corpus Christi, Nueces County, Texas, and shall be payable at such reasonable time or times as Authority may direct by written notice to Champlin and by general rule or regulation which shall be applicable to all persons or parties holding franchises from Authority.

SECTION II.

This agreement is made with reasonable conditions for the protection of Authority and its property and the property of its tenants, to-wit:

1. Champlin will at all times conduct its operation so as not to create any unusual fire or health hazard.

2. Champlin shall perform all construction adjacent to the Channel in conformity with accepted building codes and requirements for the area in which said construction is located and shall conform with the code of the National Fire Protection Association covering said location.

3. Champlin shall take all reasonable precautions to prevent the pollution of the waters of the Channel and the ambient air in the area of the dock and shall faithfully observe all regulations adopted by Authority to prevent the discharge of pollutants into such waters. Champlin shall also comply with all valid state and federal laws and regulations and municipal ordinances relating to water and air pollution.

4. Champlin's use of the dock pursuant to these agreements shall be subject to such reasonable rules and regulations as Authority has in effect or become effective in the future applying to all persons holding franchises for similar uses.

SECTION III.

The rights of Champlin hereunder shall be subject to all easements of every kind heretofore granted by Authority and to the right of Authority to dredge, and to grant easements to the United States and other governmental agencies to dredge, north of the south bulkhead line established by Authority for the Channel.

SECTION IV.

In the event of default of Champlin in the doing of any of the terms and conditions herein stipulated to be performed by it or required of it under any valid rule or regulation of the Government of the United States of America or of the State of Texas relating to Champlin's use of the dock, and in event such default shall be persisted in for sixty (60) days after Authority has by written notice sent by registered mail to Champlin at its Corpus Christi business address, advising it fully of the nature and extent of such default, this agreement shall be subject to termination by Authority by notice to Champlin.

SECTION V.

In the event the Dock Lease is to extend beyond March 31, 1990, Champlin will give Authority written notice of such event not less than sixty (60) days prior to March 31, 1990. Delay in providing such written notice shall not be considered to be a default under this Agreement.

THIS AGREEMENT is executed in duplicate as of the date first above mentioned.

PORT OF CORPUS CHRISTI AUTHORITY
OF NUECES COUNTY, TEXAS

By: Mack B. Norris
Mack B. Norris

By: James C. Storm
James C. Storm

By: Eddie Galvan
Eddie Galvan

By: Richard R. Valls
Richard R. Valls

By: Joe Galan, Jr.
Joe Galan, Jr.

By: Joe R. Fulton
Joe R. Fulton

By: J. L. Laird
J. L. Laird

ITS PORT COMMISSIONERS



CHAMPLIN REFINING AND CHEMICALS, INC.

By: Antonio S. Tepedino *spw*
Antonio S. Tepedino
Vice President

THE STATE OF TEXAS)
 (
COUNTY OF NUECES)

THIS INSTRUMENT was acknowledged before me on the 8th day of August, 1989, by MACK B. NORRIS, JAMES C. STORM, EDDIE GALVAN, RICHARD JR. VALLS, JOE GALAN, JR., JOE R. FULTON, AND J. L. LAIRD, as Port Commissioners of PORT OF CORPUS CHRISTI AUTHORITY OF NUECES COUNTY, TEXAS.

Donna A. Weiss
Notary Public, State of Texas
DONNA S. WEISS

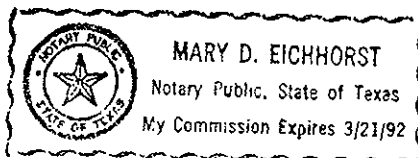
Notary Public, in and for the State of Texas

Please print name

My Commission Expires: 12-14-1991

THE STATE OF Texas)
COUNTY OF Dallas)

THIS INSTRUMENT was acknowledged before me on the 31st day of July, 1989, by Antonio S. Tepedino, the Vice President of CHAMPAIN REFINING AND CHEMICALS, INC., a Delaware corporation, on behalf of said corporation.



Mary D. Eichhorst
Notary Public, State of Texas

Mary D. Eichhorst
Please Print Name

My Commission Expires: March 21, 1992

OIL DOCKS 1 AND 2

FRANCHISE

NUECES COUNTY NAVIGATION DISTRICT NO. 1

TO

CHAMPLIN PETROLEUM COMPANY

BE IT RESOLVED BY THE BOARD OF NAVIGATION AND CANAL
COMMISSIONERS OF NUECES COUNTY NAVIGATION DISTRICT NO. 1:

SECTION I.

There is hereby granted to Champlin Petroleum Company, its successors and assigns, herein called Grantee, for a term beginning on the 1st day of June, 1976, and ending on the 31st day of May, 2006, (a term of thirty years) the right of access to and use of the Industrial Canal (called the "Channel") from Grantee's Land (hereinafter defined) for all purposes necessary, proper or expedient in connection with the maintenance of the Channel and the use and operation of docks and wharves constructed or to be constructed on Grantee's Land.

Grantee's Land is that land located in Nueces County which is described as follows:

BEING a tract of land containing 35.318 acres, more or less, situated in Nueces County, Texas, out of a larger tract conveyed by Nueces County Navigation District to H. G. Sherman, S. Gugenheim, Mrs. Anna Cohn, and Joseph A. Cohn, in a cross conveyance dated November 24, 1933, recorded in Volume 210, Page 18, of the Deed Records of Nueces County, Texas. Said 35.318 acre tract includes a portion of a 21.94 acre tract, as described in deed conveying said 21.94 acre tract from Joseph A. Cohn and wife, Arleigh J. Cohn, to Pontiac Refining Corp., recorded in Volume 560, Page 534, and a portion of a 14.48 acre tract, as described in deed conveying said 14.48 acre tract from Southwestern Oil & Refining Company to Pontiac Refining Corp., recorded in Volume 1063, Page 570, and being more particularly described by metes and bounds as follows;

BEGINNING at concrete monument 5 inches square at top and having on its east face a lead plate marked "53", said monument being a point on the monumented shoreline, and being S06°45'12"E 29.72 feet from an iron bar set in the southwest corner of the aforementioned 21.94 acre tract;

THENCE N36°56'42"W 19.314 feet along the monumented shoreline to a point, said point being the intersection of said monumented shoreline with the east right-of-way of Oak Park Avenue;

THENCE N31°03'03"E along the east right-of-way of Oak Park Avenue; at 16.258 feet pass an iron bar set in the southwest corner of the aforementioned 21.94 acre tract, in all 1268.148 feet to a point where the east right-of-way of Oak Park Avenue intersects the Nueces County Navigation District's south bulkhead line of the Industrial Canal, said point being the northwest corner of the aforementioned 21.94 acre tract, for the northwest corner of this tract;

THENCE S66°39'12"E along the Nueces County Navigation District's south bulkhead line of the Industrial Canal; at 753.49 feet pass a point, said point being the northeast corner of the aforementioned 21.94 acre tract and the northwest corner of the aforementioned 14.48 acre tract, in all a distance of 1230.40 feet to a point on said bulkhead line, said point being the northeast corner of said 14.48 acre tract, for the northeast corner of this tract;

THENCE S31°14'03"W 1151.135 feet along the east boundary of the aforementioned 14.48 acre tract to a point on the monumented shoreline, said point being N80°03'42"W 55.182 feet from a concrete monument marked "51";

THENCE N80°03'42"W along the monumented shoreline at 507.018 feet pass the west boundary of the aforementioned 14.48 acre tract and the east boundary of the aforementioned 21.94 acre tract; at 652.438 feet pass the south boundary of the aforementioned 21.94 acre tract, in all a distance of 732.788 feet to a concrete monument marked "52".

THENCE N61°45'42"W 514.72 feet along the monumented shoreline to the point of beginning and containing 35.318 acres of land more or less.

All bearings are based on Grid North, South Zone of Texas as established by the U. S. Coast and Geodetic Survey.

The S 66°39'12"E bearing of Nueces County Navigation District south bulkhead line in the above description is the same line as the line bearing S 66°11'30"E in the franchise granted Pontiac Refining Company on December 4, 1952 and the line bearing S66°20'E in the Mutual Conveyance executed on the 24th day of November 1933, said instrument being filed in Volume 210, pages 18-21 of the deed records of Nueces County, Texas.

The land is shown on a plat designated as District Drawing No. L-1-36(3) which further describes said 35.318 acre tract.

SECTION II.

Grantee may also cross the South Bulkhead Line established by District for the Channel where the Channel is adjacent to Grantee's Land and may conduct and perform all dredging and excavation operations in, on and under the submerged lands owned by District which lie between the Channel and Grantee's Land, as may be necessary, proper or expedient in connection with the use of such submerged lands of District as a means of access from the docks and wharves of Grantee to the Channel.

SECTION III.

For the rights granted to it hereunder, Grantee shall pay to District a rental, based upon all property moving to or from docks and wharves on Grantee's Land, as follows:

A. For all property transported as by a general cargo business (and by "general cargo business" is meant a business handling the shipment by water of any property or commodity owned by a party, or being purchased or sold by a party, other than the holder of this franchise or one of its affiliates) a rental based upon the quantity of shipments made and to be equal to fifty per cent (50%) of the then current tariff wharfage rate of District on the same type of commodity or property;

B. For all property transported as by a business other than a general cargo business (that is, a business handling the shipment by water of property or commodities owned by the holder of this franchise or one of its affiliates, or being purchased or sold by the holder of this franchise or one of its affiliates) a rental based upon the quantity of the shipments made and to be an amount not more than fifty per cent (50%) of the then current tariff wharfage rate of said District on the same type of property or commodity.

An "Affiliate" as herein used is a corporation the controlling interest in which is owned by the same persons or corporations owning controlling interest in the holder of this franchise, if the holder be a corporation.

Grantee, its successors and assigns, shall keep and maintain a complete and accurate set of books and records showing all commodities shipped over, and to or from, any dock or docks or wharf or wharves constructed by Grantee, its successors or assigns, on Grantee's Land in order that District may ascertain therefrom what rentals are due to District from Grantee hereunder, and such books and records shall be subject to the inspection of District, its agents and attorneys, at any and all reasonable times.

The rental payable hereunder shall be paid to District at its offices in Corpus Christi, Nueces County, Texas, and shall be payable at such reasonable time or times as District may direct by written notice to Grantee and by general rule or regulation which shall be applicable to all persons or parties holding permits or franchises similar to this franchise.

SECTION IV.

This franchise is granted with reasonable conditions for the protection of District and its property and the property of its tenants, to-wit:

1. Grantee will at all times conduct its operation so as not to create any unusual fire or health hazard.
2. Grantee will not for itself or for others, except with the consent of District, build or operate a railway terminal for use in connection with the exercise of the rights granted by this franchise; provided, however, that Grantee may build or use spur railroad tracts in connection with its business and the exercise of its rights under this franchise.

3. Prior to the construction of any structure or commencement of any work (including filling of submerged areas) on any submerged land for which a Department of the Army permit is required and prior to filing application for any such permit, Grantee will submit plans of the work to be undertaken to District for its approval.

4. Grantee shall perform all construction adjacent to the channel in conformity with accepted building codes and requirements for the area in which said construction is located and shall conform with the code of the National Fire Protection Association covering said location.

5. Grantee shall take all reasonable precautions to prevent the pollution of the waters of the Channel and shall faithfully observe all regulations adopted by District to prevent the discharge of pollutants into such waters. Grantee shall also comply with all valid state and federal laws and regulations and municipal ordinances relating to water pollution.

6. This franchise shall be subject to such reasonable rules and regulations as District has in effect or may invoke in the future applying to all persons holding similar franchises.

SECTION V.

The rights of Grantee hereunder shall be subject to all easements of every kind heretofore granted by District and to the right of District to dredge, and to grant easements to the United States and other governmental agencies to dredge, north of the south Bulkhead Line established by District for the Channel.

SECTION VI.

Any and all structures and other improvements which are, and may be, constructed and placed by Grantee,

its successors and assigns, upon Grantee's Land (the same being submerged lands which were conveyed by District to the predecessors in title of Grantee) shall be and remain at all times the property of Grantee, its successors and assigns, notwithstanding a reversion of the title to said submerged lands or any part thereof to District pursuant to the provisions of, or as a result of the exercise of any of the rights of District retained in, the prior conveyances. In the event of such reversion, Grantee may remove the said structures and improvements or may continue to maintain and operate them and make additions and replacements to them notwithstanding the occurrence of such reversion of title; provided, however, that in the event of such reversion, Grantee shall be permitted to maintain and operate the said structures and improvements and any additions thereto and replacements thereof only upon payment of all past due rentals that may be payable under this franchise and only under and pursuant to this franchise, and so long as this franchise is in effect.

SECTION VII.

In the event of default of Grantee in the doing of any of the terms and conditions herein stipulated to be performed by it or required of it under any valid rule or regulation of the Government of the United States of America or of the State of Texas, and in event such default shall be persisted in for sixty (60) days after District has by written notice sent by registered mail to the Grantee at its Corpus Christi business address, advising it fully of the nature and extent of such default, this franchise shall be subject to forfeiture at the instance of District by suit in the District Court of Nueces County, Texas.

SECTION VIII.

The rights and privileges of Grantee arising out of that certain partition deed dated November 24, 1933, of record in Vol. 210, page 18 et seq., Deed Records of Nueces County, Texas, executed by Nueces County Navigation District No. 1 and by H. G. Sherman, S. Gugenheim, Mrs. Anna Cohn and Joseph A. Cohn are hereby expressly recognized and confirmed, and are in no wise lessened or diminished by the granting of this franchise and its acceptance by Grantee, or by any surrender, cancellation, or forfeiture of the same.

SECTION IX.

This franchise may be transferred or assigned to any persons, firms or corporation holding title or right of use and occupancy of all or any one part of Grantee's Land which lies adjacent to the Channel, but not as to two or more segregated or separate parcels -- it being intended that the rights of Grantee under this franchise shall at all times be held by one party or by several parties holding the same jointly. Any assignee of this franchise, upon taking transfer or assignment of the same, shall file written evidence of such transfer or assignment and of assignee's acceptance of the same in the office of District. The right of assignment shall include the right of Grantee to convey this franchise by mortgage, deed of trust or any other security instrument. If Grantee shall be in default of any of the covenants or conditions of this franchise, the holder of the mortgage, deed of trust or other security instrument may, before forfeiture is invoked by District, make any and all payments and do and perform any and all acts or things which may be necessary to prevent a forfeiture of this franchise and the party making such payments or performing such acts or things shall thereby be subrogated to all rights of the Grantee under this franchise. District agrees

that if the holder of any mortgage, deed of trust or other security instrument delivers copy of such instrument to District, together with the address to which it desires notices to be sent, District will send to the holder, at the address specified, copies of all written notices to be served on Grantee under and pursuant to the terms of this franchise. It is understood that the mortgagee, trustee and beneficiary of any security instrument shall in no way be liable to District for any payments or for the performance of any other covenants and conditions of this franchise until such time as it shall acquire by conveyance from Grantee or by foreclosure or other proceedings provided by law or by the terms of the security instrument all the right, title and interest of Grantee under this franchise, provided, however, that any party who shall acquire said right, title and interest of Grantee, as above provided, shall thereby become liable for all payments and the performance of all other covenants and conditions theretofore and thereafter required to be made by Grantee under the franchise, as fully and to the same extent as the Grantee itself would have been if it still had retained its right, title and interest hereunder.

SECTION X.

The expense of publishing this franchise as required by law shall be borne by the Grantee.

SECTION XI

Upon the date this franchise is accepted by Grantee, District and Grantee agree that franchise now held by Grantee which was granted by District to Pontiac Refining Company dated December 4, 1952, and covering part of Grantee's land shall be terminated and cancelled.

The above franchise was introduced and read this
13th day of July, 1976, and passed to
the second reading by the following vote:

William E. Carl, Commissioner	<u>Aye</u>
R. E. Sallee, Commissioner	<u>Aye</u>
Eddie Galvan, Commissioner	<u>Aye</u>
James C. Storm, Commissioner	<u>Aye</u>
T. D. Sexton, Commissioner	<u>Aye</u>

At a meeting held on the 21st day of July,
1976, the foregoing franchise was read the second time and
passed to the third reading by the following vote:

William E. Carl, Commissioner	<u>Aye</u>
R. E. Sallee, Commissioner	<u>Aye</u>
Eddie Galvan, Commissioner	<u>Aye</u>
James C. Storm, Commissioner	<u>Aye</u>
T. D. Sexton, Commissioner	<u>Aye</u>

At a meeting held on the 25th day of July,
1976, the foregoing franchise was read the third time and
finally passed and adopted by the following vote:

William E. Carl, Commissioner	<u>Absent</u>
R. E. Sallee, Commissioner	<u>Aye</u>
Eddie Galvan, Commissioner	<u>Aye</u>
James C. Storm, Commissioner	<u>Absent</u>
T. D. Sexton, Commissioner	<u>Aye</u>

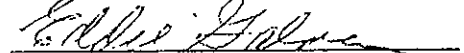
Finally passed and adopted, the 25th day of
July, 1976.



William E. Carl



R. E. Sallee



Eddie Galvan

James C. Storm
James C. Storm

T. D. Sexton
T. D. Sexton

APPROVED AS TO LEGAL FORM:

Navigation and Canal Commissioners
of Nueces County Navigation
District No. 1

W. H. Harvey
(Counsel)

THE STATE OF TEXAS X

COUNTY OF NUECES X

BEFORE ME, the undersigned authority, on this day personally appeared WILLIAM E. CARL, R. E. SALLIE, EDDIE GALVAN, JAMES C. STORM and T. D. SEXTON, known to me to be the persons whose names are subscribed to the foregoing instrument and acknowledged to me that they executed the same for the act and deed of the Nueces County Navigation District No. 1 as Navigation and Canal Commissioners of such District, and for the purposes and consideration therein expressed.

GIVEN UNDER MY HAND AND SEAL OF OFFICE this 3rd
day of August, 1976.

Catherine J. Mokry
Notary Public, Nueces County, Texas
CATHERINE J. MOKRY

Notary Public, in and for Nueces County, Texas

ACCEPTANCE OF GRANTEE

The above and foregoing franchise to Champlin Petroleum Company is accepted and Champlin Petroleum Company hereby agrees to be bound thereby.

WITNESS THIS 16th day of August, 1976.

CHAMPLIN PETROLEUM COMPANY

By: E. M. Otto
VICE PRESIDENT (Title)

ATTEST:
Christina J. Lubank
ASSISTANT Secretary

THE STATE OF TEXAS X

COUNTY OF TARRANT X

BEFORE ME, the undersigned authority, on this day personally appeared E. M. Otto, the Vice President of CHAMPLIN PETROLEUM COMPANY, known to me to be the person and officer whose name is subscribed to the foregoing instrument and acknowledged to me that the same was the act of the said CHAMPLIN PETROLEUM COMPANY, a corporation, and that he executed the same as the act of such corporation for the purposes and consideration therein expressed, and in the capacity therein stated.

GIVEN UNDER MY HAND AND SEAL OF OFFICE this 17th
day of August, 1976.

Velma Smith
Notary Public, Tarrant
County, Texas

NOTARY PUBLIC IN AND FOR
TARRANT COUNTY, TEXAS

OIL DOCK 3 AND BARGE DOCK 6

FRANCHISE

NUECES COUNTY NAVIGATION DISTRICT NO. 1

TO

CHAMPLIN PETROLEUM COMPANY

BE IT RESOLVED BY THE BOARD OF NAVIGATION AND CANAL
COMMISSIONERS OF NUECES COUNTY NAVIGATION DISTRICT NO. 1:

SECTION I.

There is hereby granted to Champlin Petroleum Company, its successors and assigns, herein called Grantee, for a term beginning on the 1st day of June, 1976, and ending on the 31st day of May, 2006, (a term of thirty years) the right of access to and use of the Tule Lake Channel and Turning Basin (called the "Channel") from Grantee's Land (hereinafter defined) for all purposes necessary, proper or expedient in connection with the maintenance of the Channel and the use and operation of docks and wharves constructed or to be constructed on Grantee's Land.

Grantee's Land is that land located in Nueces County which is described as follows:

BEING a tract of land containing 12.325 acres of land situated in Nueces County, Texas, out of State Survey No. 700, and also being .168 acres out of Tract Three and being 12.157 acres out of Tract Four, as such tracts are described in a "Mutual Conveyance" dated June 8, 1959, in which said Tracts, among others, were conveyed by Nueces County Navigation District No. 1 to the Trustees of the estate of Clara Driscoll, et al, which conveyance was executed in counterparts which are of record in Volume 868 at page 571 and at page 604, and in Volume 869 at page 1 and at page 34 of the Deed Records of Nueces County, Texas, and also being out of Tract B as described in deed conveying Tract B from the trustees of the Robert Driscoll and Julia Driscoll and Robert Driscoll, Jr., Foundation to the Champlin Petroleum Company, as shown in the deed recorded in Volume 1540, Page 766 and 767 of the Nueces County Deed Records of Nueces County, Texas, said 12.325 acres being all of that portion of said Tract B lying between the Nueces County Navigation District's south bulkhead line of the Tule Lake Channel on the north, and the "Monumented Shoreline" on the south, and being more particularly described by metes and bounds as follows:

BEGINNING at a one-inch iron pipe set in the "Monumented Shoreline," which is the south line of State Survey No. 700 for the southeast corner of this tract, said iron pipe being N36°21'42"E 38.36 feet from the southeast corner of said Tract B;

THENCE N36°21'42"E 410.901 feet to a point on the Nueces County Navigation District's south bulkhead line of the Tule Lake Channel, said point also being the northeast corner of this tract;

THENCE N65°35'00.5"W 1648.69 feet along the Nueces County Navigation District's south bulkhead line of the Tule Lake Channel to a point for the northwest corner of this tract, said point also being the northwest corner of said Tract B;

THENCE S36°21'42"W along the west boundary of said Tract B a distance of 293.81 feet to a one-inch iron pipe set at the intersection of the "Monumented Shoreline" with the west boundary of said Tract B;

THENCE S70°17'17.5"E along the "Monumented Shoreline" and the south boundary line of State Survey No. 700; at 52.06 feet pass a point, said point being the southeast corner of the aforementioned Tract Three, in all a distance of 572.62 feet to a concrete monument, five inches square on top, designated as Monument 87, for a corner of this tract;

THENCE S44°40'50"E along the "Monumented Shoreline" and the south boundary line of State Survey No. 700, a distance of 350.00 feet to a concrete monument, five inches square on top, designated as Monument 86, for a corner of this tract;

THENCE S62°41'50"E along the "Monumented Shoreline" and the southerly boundary line of State Survey No. 700, a distance of 727.73 feet to the point of beginning and containing 12.325 acres of land, more or less.

All bearings are based on Grid North, south zone of Texas, as established by the U.S. Coast and Geodetic Survey.

The land is shown on a plat designated as District Drawing No. L-1-36(2) which further describes said 12.325 acre tract.

SECTION II.

Grantee may also cross the South Bulkhead Line established by District for the Channel where the Channel is adjacent to Grantee's Land and may conduct and perform all dredging and excavation operations in, on and under the submerged lands owned by District which lie between the Channel and Grantee's Land, as may be necessary, proper or

expedient in connection with the use of such submerged lands of District as a means of access from the docks and wharves of Grantee to the Channel.

SECTION III.

For the rights granted to it hereunder, Grantee shall pay to District a rental, based upon all property moving to or from docks and wharves on Grantee's Land, as follows:

A. For all property transported as by a general cargo business (and by "general cargo business" is meant a business handling the shipment by water of any property or commodity owned by a party, or being purchased or sold by a party, other than the holder of this franchise or one of its affiliates) a rental based upon the quantity of shipments made and to be equal to fifty per cent (50%) of the then current tariff wharfage rate of District on the same type of commodity or property;

B. For all property transported as by a business other than a general cargo business (that is, a business handling the shipment by water of property or commodities owned by the holder of this franchise or one of its affiliates, or being purchased or sold by the holder of this franchise or one of its affiliates) a rental based upon the quantity of the shipments made and to be an amount not more than fifty per cent (50%) of the then current tariff wharfage rate of said District on the same type of property or commodity.

An "Affiliate" as herein used is a corporation the controlling interest in which is owned by the same persons or corporations owning controlling interest in the holder of this franchise, if the holder be a corporation.

Grantee, its successors and assigns, shall keep and maintain a complete and accurate set of books and records showing all commodities shipped over, and to or from, any dock or docks or wharf or wharves constructed by

Grantee, its successors or assigns, on Grantee's Land in order that District may ascertain therefrom what rentals are due to District from Grantee hereunder, and such books and records shall be subject to the inspection of District, its agents and attorneys, at any and all reasonable times.

The rental payable hereunder shall be paid to District at its offices in Corpus Christi, Nueces County, Texas, and shall be payable at such reasonable time or times as District may direct by written notice to Grantee and by general rule or regulation which shall be applicable to all persons or parties holding permits or franchises similar to this franchise.

SECTION IV.

This franchise is granted with reasonable conditions for the protection of District and its property and the property of its tenants, to-wit:

1. Grantee will at all times conduct its operation so as not to create any unusual fire or health hazard.

2. Grantee will not for itself or for others, except with the consent of District, build or operate a railway terminal for use in connection with the exercise of the rights granted by this franchise; provided, however, that Grantee may build or use spur railroad tracts in connection with its business and the exercise of its rights under this franchise.

3. Prior to the construction of any structure or commencement of any work (including filling of submerged areas) on any submerged land for which a Department of the Army permit is required and prior to filing application for any such permit, Grantee will submit plans of the work to be undertaken to District for its approval.

4. Grantee shall perform all construction adjacent to the channel in conformity with accepted building codes and requirements for the area in which said construction

is located and shall conform with the code of the National Fire Protection Association covering said location.

5. Grantee shall take all reasonable precautions to prevent the pollution of the waters of the Channel and shall faithfully observe all regulations adopted by District to prevent the discharge of pollutants into such waters. Grantee shall also comply with all valid state and federal laws and regulations and municipal ordinances relating to water pollution.

6. This franchise shall be subject to such reasonable rules and regulations as District has in effect or may invoke in the future applying to all persons holding similar franchises.

SECTION V.

The rights of Grantee hereunder shall be subject to all easements of every kind heretofore granted by District and to the right of District to dredge, and to grant easements to the United States and other governmental agencies to dredge, north of the south Bulkhead Line established by District for the Channel.

SECTION VI.

Any and all structures and other improvements which are, and may be, constructed and placed by Grantee, its successors and assigns, upon Grantee's Land (the same being submerged lands which were conveyed by District to the predecessors in title of Grantee) shall be and remain at all times the property of Grantee, its successors and assigns, notwithstanding a reversion of the title to said submerged lands or any part thereof to District pursuant to the provisions of, or as a result of the exercise of any of the rights of District retained in, the prior conveyances. In the event

of such reversion, Grantee may remove the said structures and improvements or may continue to maintain and operate them and make additions and replacements to them notwithstanding the occurrence of such reversion of title; provided, however, that in the event of such reversion, Grantee shall be permitted to maintain and operate the said structures and improvements and any additions thereto and replacements thereof only upon payment of all past due rentals that may be payable under this franchise and only under and pursuant to this franchise, and so long as this franchise is in effect.

SECTION VII.

In the event of default of Grantee in the doing of any of the terms and conditions herein stipulated to be performed by it or required of it under any valid rule or regulation of the Government of the United States of America or of the State of Texas, and in event such default shall be persisted in for sixty (60) days after District has by written notice sent by registered mail to the Grantee at its Corpus Christi business address, advising it fully of the nature and extent of such default, this franchise shall be subject to forfeiture at the instance of District by suit in the District Court of Nueces County, Texas.

SECTION VIII.

The rights and privileges of Grantee arising out of that certain instrument styled "Mutual Conveyance" dated June 8, 1959, between District, on the one hand, and W. Preston Pittman, Dr. McIver Furman and T. S. Scibienski, Trustees of the Driscoll Foundation, et al, on the other hand, which Mutual Conveyance was executed in four counterparts which are of record in Volume 868 at page 571 and page 604 and in Volume 869 at page 1 and page 34, Deed Records of Nueces County, Texas, are hereby expressly recognized and confirmed and are in no wise lessened or diminished by the

granting of this franchise and its acceptance by the Grantee or by any surrender, cancellation or forfeiture of the same.

SECTION IX.

This franchise may be transferred or assigned to any persons, firms or corporation holding title or right of use and occupancy of all or any one part of Grantee's Land which lies adjacent to the Channel, but not as to two or more segregated or separate parcels -- it being intended that the rights of Grantee under this franchise shall at all times be held by one party or by several parties holding the same jointly. Any assignee of this franchise, upon taking transfer or assignment of the same, shall file written evidence of such transfer or assignment and of assignee's acceptance of the same in the office of District. The right of assignment shall include the right of Grantee to convey this franchise by mortgage, deed of trust or any other security instrument. If Grantee shall be in default of any of the covenants or conditions of this franchise, the holder of the mortgage, deed of trust or other security instrument may, before forfeiture is invoked by District, make any and all payments and do and perform any and all acts or things which may be necessary to prevent a forfeiture of this franchise and the party making such payments or performing such acts or things shall thereby be subrogated to all rights of the Grantee under this franchise. District agrees that if the holder of any mortgage, deed of trust or other security instrument delivers copy of such instrument to District, together with the address to which it desires notices to be sent, District will send to the holder, at the address specified, copies of all written notices to be served on Grantee under and pursuant to the terms of this franchise. It is understood that the mortgagee, trustee and beneficiary of any security instrument shall in no way be liable to District for any payments or for the performance

of any other covenants and conditions of this franchise until such time as it shall acquire by conveyance from Grantee or by foreclosure or other proceedings provided by law or by the terms of the security instrument all the right, title and interest of Grantee under this franchise, provided, however, that any party who shall acquire said right, title and interest of Grantee, as above provided, shall thereby become liable for all payments and the performance of all other covenants and conditions theretofore and thereafter required to be made by Grantee under the franchise, as fully and to the same extent as the Grantee itself would have been if it still had retained its right, title and interest hereunder.

SECTION X.

The expense of publishing this franchise as required by law shall be borne by the Grantee.

The above franchise was introduced and read this 15th day of June, 1976, and passed to the second reading by the following vote:

William E. Carl, Commissioner	<u>Aye</u>
R. E. Sallee, Commissioner	<u>Aye</u>
Eddie Galvan, Commissioner	<u>Aye</u>
James C. Storm, Commissioner	<u>Aye</u>
T. D. Sexton, Commissioner	<u>Aye</u>

At a meeting held on the 21st day of June, 1976, the foregoing franchise was read the second time and passed to the third reading by the following vote:

William E. Carl, Commissioner	<u>Aye</u>
R. E. Sallee, Commissioner	<u>Aye</u>
Eddie Galvan, Commissioner	<u>Aye</u>
James C. Storm, Commissioner	<u>Aye</u>
T. D. Sexton, Commissioner	<u>Aye</u>

At a meeting held on the 28th day of July, 1976, the foregoing franchise was read the third time and finally passed and adopted by the following vote:

William E. Carl, Commissioner	<u>Abundant</u>
R. E. Sallee, Commissioner	<u>Agree</u>
Eddie Galvan, Commissioner	<u>Agree</u>
James C. Storm, Commissioner	<u>Abundant</u>
T. D. Sexton, Commissioner	<u>Agree</u>

Finally passed and adopted, the 30th day of July, 1976.

William E. Carl
William E. Carl

R. E. Sallee
R. E. Sallee

Eddie Galvan
Eddie Galvan

James C. Storm
James C. Storm

T. D. Sexton
T. D. Sexton

APPROVED AS TO LEGAL FORM:

Navigation and Canal Commissioners
of Nueces County Navigation
District No. 1

M. J. M. M. M.
(Counsel)

THE STATE OF TEXAS X

COUNTY OF NUECES X

BEFORE ME, the undersigned authority, on this day personally appeared WILLIAM E. CARL, R. E. SALLEE, EDDIE GALVAN, JAMES C. STORM and T. D. SEXTON, known to me to be the persons whose names are subscribed to the foregoing instrument and acknowledged to me that they executed the same for the act and deed of the Nueces County Navigation District No. 1 as Navigation and Canal Commissioners of such District, and for the purposes and consideration therein expressed.

GIVEN UNDER MY HAND AND SEAL OF OFFICE this 3rd day of August, 1976.

Catherine J. Moky
Notary Public, Nueces County, Texas
CATHERINE J. MOKRY
Notary Public, in and for Nueces County, Texas

ACCEPTANCE OF GRANTEE

The above and foregoing franchise to Champlin Petroleum Company is accepted and Champlin Petroleum Company hereby agrees to be bound thereby.

WITNESS THIS 16th day of August, 1976.

CHAMPLIN PETROLEUM COMPANY

By: F. M. Otto

VICE PRESIDENT

(Title)

ATTEST:

Christina Luback
Secretary

THE STATE OF TEXAS

X

COUNTY OF TARRANT

X

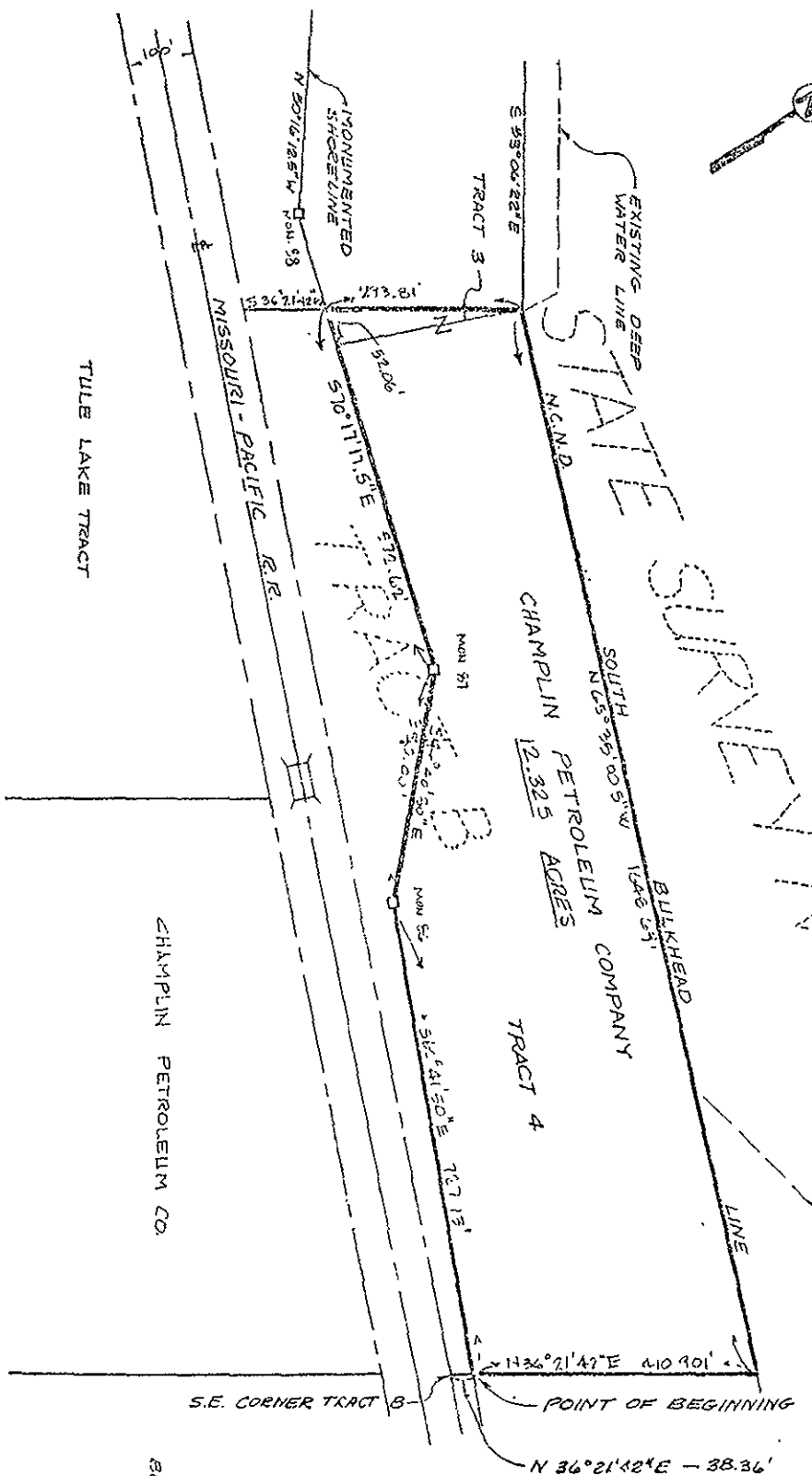
BEFORE ME, the undersigned authority, on this day personally appeared F. M. Otto, the Vice President of CHAMPLIN PETROLEUM COMPANY, known to me to be the person and officer whose name is subscribed to the foregoing instrument and acknowledged to me that the same was the act of the said CHAMPLIN PETROLEUM COMPANY, a corporation, and that he executed the same as the act of such corporation for the purposes and consideration therein expressed, and in the capacity therein stated.

GIVEN UNDER MY HAND AND SEAL OF OFFICE this 17th day of August, 1976.

Velma Smith
Notary Public, TARRANT
County, TEXAS

NOTARY PUBLIC
EXPIRATION DATE 12/31/77
AT CHAMPLIN PETROLEUM COMPANY, TEXAS

EXISTING DEEP
WATER LIME



BEERY CONTRACTING,
INC.

CHAMPLIN PETROLEUM
COMPANY FRANCHISE
TULE LAKE CHANNEL
CORPUS CHRISTI SHIP CHANNEL

1" = 200'
1 G.B.

12.325 Acre TRACT

4-26-75

1135

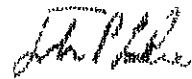
ATTACHMENT B

DECLARATION OF JOHN P. LARUE

I am John P. LaRue, Executive Director of the Port of Corpus Christi Authority. Under penalty of perjury I declare the following to be true:

1. I was appointed Executive Director of the Port in 1994. Prior to assuming my duties at the Port of Corpus Christi in 1994, I was the Executive Director of the Philadelphia Regional Port Authority ("PRPA") and before that the President and Chief Executive Officer of PRPA's predecessor, the Philadelphia Port Corporation. I also have been active in several governmental and trade associations, including serving as President of the Texas Ports Association, a Member of the State of Texas Department of Transportation Port Advisory Committee, and on the Board of the American Association of Port Authorities. I participate in a number of charitable organizations as well, serving as Chairman of the 2003 National Conference for Community & Justice Walkathon, Past Chair of the local United Way, Past Chair of the USO, and former Board Member of the American Heart Association.
2. Part of my responsibilities in the Port of Corpus Christi is to solicit and supervise the solicitation of new business for the Port. When I was the Executive Director of PRPA, PRPA was successful in not only maintaining but increasing common carrier services that carried fresh fruit from South America, and New Zealand, frozen meats from Australia and other containerized cargoes to its marine terminals. PRPA also received call from vessels carrying project cargoes, steel, forest products and other ocean tramp vessel inducement cargoes which have been and remain the mainstay cargoes at PRPA. I hoped to make the Port of Corpus Christi, in addition to its servicing of petroleum and other bulk cargoes, a niche port for containerized and breakbulk cargoes by bring similar cargoes to those shipped through PRPA to the Port of Corpus Christi. Despite my contacts and efforts, and the efforts of the Port staff, however, while the Port has been able to develop ocean tramp services to carry commodities such as wind turbine parts and proppants, the Port has not been able to attract any regularly scheduled vessel services that are held out to the general public.
3. The fact is that liquid and dry bulk cargoes constitute over 99% of all cargoes that move through the public and private docks in the Port of Corpus Christi. General cargo, mainly breakbulk and military cargo, represents approximately ½ of 1 percent of the cargoes moving into or out of the Port and the non-military breakbulk vessel calls are by ocean tramps who sporadically call at the Port to discharge a shipment or load a shipment. Our records for the last three years do not show any vessels that ever both load and discharge cargo on the same call at the Port. As to the private and public oil docks specifically, they are incapable of handling any cargo other than petroleum in bulk moved on tramp vessels because of the presence of the pipelines that cover the docks.

4. I continue to look for cargoes to come through the Port that would attract services that operate on a regular schedule with multiple shippers utilizing the Port to ship or receive cargoes carried by such services. As part of this effort, I continue to discuss with general cargo shippers their needs and try to promote service through the railroads that could attract these cargoes.



John P. LaRue

October 17, 2011

ATTACHMENT C

Declaration of Captain Anthony Alejandro

tankers and barges which do not hold themselves out to the general public; they generally carry a single cargo for one shipper and one consignee. The vessels do not run on regular routes or schedules. Their sailings are not advertized.

(b) dry bulk cargoes and bulk grain cargoes which are generally full shiploads of grain or other non-liquid bulk cargoes that are carried without mark or count and which are loaded or discharged at the grain elevator or the dry bulk cargo docks constitute approximately 12 to 15% of the cargoes handled at the Port during the last three years. Dry bulk vessels do not hold themselves out to the general public and they generally carry one cargo for one shipper and one consignee. The vessels do not run on regular routes or schedules. Their sailings are not advertized.

(c) breakbulk cargo which includes general cargo and military shipments together constitute approximately 1/2 of 1% of the cargo handled at the Port over the last three years.

(1) The military cargoes are loaded or discharged by vessels under the control of the Military Sealift Command. These vessels are generally time chartered to the MSC and are operated solely to carry cargoes for the military. The vessels are not held out to the general public. The sailings are not advertised.

(2) general cargo vessels that are loaded or discharged at the Port's general cargo docks.

At my request and under my supervision, my staff has studied the general cargo vessels and the commodities loaded or discharged at the Port from or to such vessels for the three years prior to the filing of the CITGO Complaint.

The study shows that every general cargo vessel that called at the Port either discharged cargo or loaded cargo. We could not find a single general cargo vessel that discharged cargo and loaded cargo during its call at the Port. The cargoes handled were breakbulk cargoes that did not move in containers and which were generally being delivered to a single consignee or being loaded for a single shipper. The commodities handled were limited: by far the largest in volume were wind turbine components that were discharged at the Port. Another significant cargo being discharged at the Port has been ceramic proppants which are ceramic beads, each about the size of a grain of sand, that are used in oil well fracturing. Proppants are shipped in 3,300 pound super

sacks. Oil well equipment, including rigs and pipe is loaded from time to time into vessels that call specifically to pick up such cargo at the Port.

Every general cargo vessel that called at Corpus Christi has been assigned a berth on a first come, first served basis. The Port has no agreements to provide any vessel a preferential berth at a specific time. As far as I can ascertain, not one of the vessels that called at the Port was held out to the general public to load or discharge cargoes at the Port. I have not found any advertizing of service to or from the Port in newspapers, the trade press or on the Internet. If the Port is mentioned on a vessel operator's website, like that of Industrial Maritime Carriers, it states Corpus Christi would be served "on inducement."

5. The Complaint alleges in Paragraph II.C that certain named vessel operators are common carriers serving the Port of Corpus Christi. We have compared the names of the companies listed in Paragraph II.C with vessels that called at the Port's general cargo docks for the three years prior to the service of the CITGO complaint on September 2, 2011, and found the following:

Green Chartering AS or Green Reefers has had no vessels call at the Port of Corpus Christi in the three years prior to September 2, 2011.

SCM Lines - Transportes Maritimos LDA had two vessels that made five calls at the Port of Corpus Christi in the three years prior to the filing of the Complaint. On each call the vessel discharged cargoes of ceramic proppants for a single consignee and loaded no cargoes.

Grieg Star Shipping had thirteen calls during three years by eleven different vessels during the three years prior to September 2, 2011. Ten of the vessels discharged wind turbine components for a single consignee; the other three vessel calls discharged ceramic proppants for a single consignee. No cargo was loaded during these calls.

Westfal-Larsen Shipping had one vessel call in May, 2010. The vessel discharged wind turbine components for a single consignee.

Chinese-Polish Joint Stock Shipping Co. made a total of four calls during the three year period: one vessel discharged steel coils, another discharged project cargo and two discharged wind turbine components for a single consignee.

BBC Chartering and Logistics GmbH & Co. KG had 21 different vessels make 29 distinct calls at Corpus Christi at the general cargo docks in the three years prior

to the filing of the Complaint by CITGO. With the exception of one vessel that loaded drilling rig parts from a single shipper, one vessel that loaded wind turbine components from a single shipper and two that loaded unspecified commodities for a single consignee, each BBC vessel discharged a single commodity for a single consignee. All 25 of these vessels calls discharged wind turbine components for a single consignee.

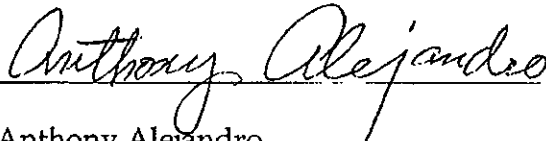
Industrial Maritime Carriers had nine vessels that made fifteen calls at Corpus Christi general cargo docks in the three years prior to September 2, 2011. With the exception of two vessel calls that loaded drill rig parts or project cargo for a single shipper, all other vessels discharged wind turbine components for the same consignee.

All of these vessels were provided berths on a first come, first served basis. All of the cargoes were break bulk cargoes. Vessels that discharged cargo did not load cargo during the call. Vessels that loaded cargo did not discharge cargo during the call. There was no service pattern or schedule to the vessel calls. I am unaware of any advertisements made for or on behalf of any of the companies alleged by CITGO to be common carriers.

6. I am familiar with the characteristics of common carriage and it is clear to me that there is no common carrier service calling at the Port of Corpus Christi. None of the vessels carried cargoes to or from Corpus Christi for more than one consignee or shipper per vessel call; vessels that discharged did not load cargo during the same call and vessels that loaded cargo did not discharge cargo during the same call. As far as we can determine, none of the voyages were advertized and the vessel calls were irregular and sporadic.

7. If I were asked to describe the general cargo vessels that call at the Port, in light of the facts of which I am aware, I would categorize all of them as ocean tramps who came to Corpus Christi on inducement for the purpose of discharging or loading a single shipment of a specific commodity.

Executed this 17th day of October, 2011.


Anthony Alejandro